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TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Audited Financial Statements
For the Year Ended June 30, 2023

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

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INDEPENDENT AUDITOR'S REPORT



McKENZIE CPA, PLLC

346 Sundial Rd
Madison, MS 39110
(Phone) 601-670-5282 (Email) barrymckenzie@mckenziecpapllc.com

INDEPENDENT AUDITOR'S REPORT

Superintendent and School Board
Tishomingo County Special Municipal Separate School District

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Tishomingo County Special Municipal Separate School District as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the Tishomingo County Special Municipal Separate School District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Tishomingo County Special Municipal Separate School District, as of June 30, 2023, and the respective changes in financial position thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards (Government Auditing Standards)*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Tishomingo County Special Municipal Separate School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Tishomingo County Special Municipal Separate School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and

therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Tishomingo County Special Municipal Separate School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Tishomingo County Special Municipal Separate School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions (PERS), the Schedule of the District's Proportionate Share of the Net OPEB Liability, and the Schedule of District Contributions (OPEB), be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Tishomingo County Special Municipal Separate School District's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards, as required by *Title 2 U.S. Code of Federal Regulations Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such

information directly to the underlying accounting and other records used to prepare the basic financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying Schedule of Expenditures of Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated June 4, 2025, on our consideration of the Tishomingo County Special Municipal Separate School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Tishomingo County Special Municipal Separate School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Tishomingo County Special Municipal Separate School District's internal control over financial reporting and compliance.

McKenzie CPA, PLLC
Madison, Mississippi
June 4, 2025

A handwritten signature in blue ink that reads "McKenzie CPA, PLLC". The signature is written in a cursive, flowing style.

MANAGEMENT'S DISCUSSION AND ANALYSIS

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

The following discussion and analysis of Tishomingo County Special Municipal Separate School District's financial performance provides an overview of the School District's financial activities for the year ended June 30, 2023. The intent of this discussion and analysis is to look at the School District's performance as a whole. Readers are encouraged to review the financial statements and the notes to the financial statements to enhance their understanding of the School District's financial performance.

FINANCIAL HIGHLIGHTS

- Total net position for 2023 decreased \$1,101,026, including a prior period adjustment of \$48,235, represents an 11% decrease from fiscal year 2022. Total net position for 2022 increased \$5,989,835, which represents a 37% increase from fiscal year 2021.
- General revenues amounted to \$27,738,480 and \$26,175,500, or 75% and 66% of all revenues for fiscal years 2023 and 2022, respectively. Program specific revenues in the form of charges for services and grants and contributions accounted for \$9,414,676, or 25% of total revenues for 2023, and \$13,742,706, or 34% of total revenues for 2022.
- The District had \$38,302,417 and \$33,928,371 in expenses for fiscal years 2023 and 2022; only \$9,414,676 for 2023 and \$13,742,706 for 2022 of these expenses were offset by program specific charges for services, grants and contributions. General revenues of \$27,738,480 for 2023 were not adequate to provide for these programs and \$26,175,500 for 2022 were adequate to provide for these programs.
- Among major funds, the General Fund had \$29,062,399 in revenues and \$31,205,053 in expenditures for 2023, and \$26,183,204 in revenues and \$26,937,132 in expenditures in 2022. The General Fund's fund balance decreased by \$1,749,984, including a prior period adjustment of \$32,362, from 2022 to 2023, and increased by \$5,374,192 from 2021 to 2022.
- Capital assets, including lease and subscription IT assets, net of accumulated depreciation and amortization, increased by \$2,163,589, including a prior period adjustment of \$15,873, for 2023 and decreased by \$89,764 for 2022. The increase for 2023 due to the addition of construction in progress, improvements other than buildings, mobile equipment, furniture and equipment, lease assets and subscription IT assets.
- Long-term debt, including compensated absences, lease obligations and SBITA obligations, increased by \$86,735 for 2023 and increased by \$958,971 for 2022. This increase for 2023 was due primarily additions of lease and SBITA liabilities. The liability for compensated absences increased by \$10,196 for 2023 and decreased by \$15,213 for 2022.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis serves as an introduction to the District's basic financial statements, which include government-wide financial statements, fund financial statements, and notes to the financial statements. This report also contains required supplementary information, supplementary information, and other information.

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the District's finances. These statements consist of the Statement of Net Position and the Statement of Activities, which are prepared using the flow of economic resources measurement focus and the accrual basis of accounting. The current year's revenues and expenses are taken into account regardless of when cash is received or paid.

The Statement of Net Position presents information on all the district's nonfiduciary assets, deferred outflows, liabilities, and deferred inflows, with the differences between them reported as "net position." Over

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Management's Discussion and Analysis

For the Year Ended June 30, 2023

time, increases or decreases in the district's net position may serve as a useful indicator of whether its financial position is improving or deteriorating.

The Statement of Activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods.

The government-wide financial statements outline functions of the district that are principally supported by property taxes and intergovernmental revenues (governmental activities). The governmental activities of the District include instruction, support services, non-instructional, pension expense, OPEB expense, and interest on long-term liabilities.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The district uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the district are governmental funds.

Governmental funds – All of the District's general activities are reported in its governmental funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, governmental funds are accounted for using the modified accrual basis of accounting and the flow of current financial resources measurement focus. The approach focuses on near-term inflows and outflows of spendable resources, as well as balances of spendable resources available at year end. The governmental fund statements provide a detailed view of the district's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, the reader may gain a better understanding of the long-term impact of the district's near-term financing decisions. The governmental funds Balance Sheet is reconciled to the Statement of Net Position, and the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances is reconciled to the Statement of Activities to facilitate this comparison between governmental funds and governmental activities.

The district maintains individual governmental funds in accordance with the *Financial Accounting Manual for Mississippi Public School Districts*. Information is presented separately in the governmental funds Balance Sheet and in the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances for all major funds. All non-major funds are combined and presented in these reports as other governmental funds.

Reconciliation of Government-wide and Fund Financial Statements

The financial statements include two schedules that reconcile the amounts reported on the governmental funds' financial statements (modified accrual basis of accounting) with government-wide financial statements (accrual basis of accounting). The following summarizes the major differences between the two statements:

Capital assets used in governmental activities are not reported on governmental funds financial statements.

Capital outlay spending results in capital assets on government-wide financial statements but is reported as expenditures on the governmental funds financial statements.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Management's Discussion and Analysis

For the Year Ended June 30, 2023

Bond and note proceeds result in liabilities on government-wide financial statements but are recorded as other financing sources on the governmental funds financial statements.

A net pension liability and net OPEB liability result in liabilities on the government-wide financial statements but are not reported on governmental funds financial statements.

Certain other outflows represent either increases or decreases in liabilities on the government-wide financial statements but are reported as expenditures on the governmental funds' financial statements.

Notes to the financial statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found immediately following the basic financial statements.

Required Supplementary Information

In addition to the basic financial statements and accompanying notes, this report also presents budgetary comparison schedules, Schedule of the District's Proportionate Share of the Net Pension Liability, Schedule of District Contributions (PERS), Schedule of the District's Proportionate Share of the Net OPEB Liability, and Schedule of District Contributions (OPEB) as required supplementary information. The District adopts an annual operating budget for all governmental funds. A budgetary comparison schedule has been provided for the General Fund as required by the Governmental Accounting Standards Board.

Supplementary Information

Additionally, a Schedule of Expenditures of Federal Awards as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and a Schedule of Instructional, Administrative and Other Expenditures for governmental funds can be found in this report.

Other Information

Although not a required part of the basic financial statements, the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years, is presented for purposes of additional analysis as required by the Mississippi Department of Education.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Net position

Net position may serve over time as a useful indicator of the district's financial position. Liabilities and deferred inflows of resources exceeded assets and deferred outflows of resources by \$11,319,825 as of June 30, 2023.

The district's financial position is a product of several financial transactions including the net result of activities, the acquisition and payment of debt, the acquisition and disposal of capital assets and the depreciation of capital assets.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Table 1 presents a summary of the district's net position at June 30, 2023 and June 30, 2022.

Table 1
Condensed Statement of Net Position

	June 30, 2023	June 30, 2022	Percentage Change	
Current assets	\$ 17,635,700	\$ 19,633,534	(10.18)	%
Restricted assets	3,063,434	2,808,559	9.07	%
Capital assets, net	22,801,546	20,637,957	10.48	%
Total assets	43,500,680	43,080,050	0.98	%
 Deferred outflows of resources	 23,283,990	 10,966,320	 112.32	 %
 Current liabilities	 1,932,718	 1,839,831	 5.05	 %
Long-term debt outstanding	5,661,968	5,961,829	(5.03)	%
Lease liability	362,448		N/A	%
SBITA liability	24,148		N/A	%
Net OPEB liability	1,769,888	2,227,063	(20.53)	%
Net pension liability	55,207,790	39,241,765	40.69	%
Total liabilities	64,958,960	49,270,488	31.84	%
 Deferred inflows of resources	 13,145,535	 14,994,681	 (12.33)	 %
 Net position:				
Net investment in capital assets	16,995,431	16,272,697	4.44	%
Restricted	3,636,361	4,538,659	(19.88)	%
Unrestricted	(31,951,617)	(31,030,155)	(2.97)	%
Total net position (deficit)	\$ (11,319,825)	\$ (10,218,799)	(10.77)	%

Additional information on unrestricted net position:

In connection with the application of standards on accounting and financial reporting for pensions and OPEB, management presents the following additional information:

Total unrestricted net position (deficit)	\$ (31,951,617)
Less unrestricted deficit in net position resulting from recognition of the net pension liability and net OPEB liability including the related deferred outflows and deferred inflows	46,839,223
Unrestricted net position, exclusive of the net pension liability and net OPEB liability effect	<u>\$ 14,887,606</u>

The following are significant current year transactions that have had an impact on the Statement of Net Position.

- Increase in net capital assets in the amount of \$2,163,589.
- The principal retirement of \$308,867 of long-term debt, including principal payments on lease and subscription IT arrangements.
- Issuance of lease obligations totaling \$369,345.
- Issuance of subscription IT obligations of \$36,453.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Management's Discussion and Analysis

For the Year Ended June 30, 2023

Changes in net position

The District's total revenues for the fiscal years ended June 30, 2023 and June 30, 2022 were \$37,153,156 and \$39,918,206, respectively. The total cost of all programs and services was \$38,302,417 for 2023 and \$33,928,371 for 2022.

Table 2 presents a summary of the changes in net position for the fiscal years ended June 30, 2023 and June 30, 2022.

Table 2
Changes in Net Position

	Year Ended June 30, 2023	Year Ended June 30, 2022	Percentage Change
Revenues:			
Program revenues:			
Charges for services	\$ 1,474,317	\$ 1,153,490	27.81 %
Operating grants and contributions	7,940,359	12,568,204	(36.82) %
Capital Grants and Contributions	-	21,012	(100.00) %
General revenues:			
Property taxes	9,237,055	8,443,322	9.40 %
Grants and contributions not restricted	18,030,106	17,052,596	5.73 %
Investment earnings	20,756	51,291	(59.53) %
Other	450,563	628,291	(28.29) %
Total revenues	<u>37,153,156</u>	<u>39,918,206</u>	(6.93) %
Expenses:			
Instruction	19,678,343	17,924,146	9.79 %
Support services	11,393,241	11,393,264	(0.00) %
Non-instructional	2,266,573	2,208,464	2.63 %
Pension expense	5,156,107	2,352,955	119.13 %
OPEB expense	(186,948)	(89,583)	(108.69) %
Interest on long-term liabilities	(4,899)	139,125	(103.52) %
Total expenses	<u>38,302,417</u>	<u>33,928,371</u>	12.89 %
Increase (Decrease) in net position	<u>(1,149,261)</u>	<u>5,989,835</u>	(119.19) %
Net Position (deficit), July 1, as previously reported	(10,218,799)	(16,208,634)	36.95 %
Prior Period Adjustment	48,235	-	N/A %
Net Position (deficit), July 1, as restated	<u>(10,170,564)</u>	<u>(16,208,634)</u>	37.25 %
Net Position (deficit), June 30	<u>(11,319,825)</u>	<u>(10,218,799)</u>	(10.77) %

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Governmental activities

The following table presents the cost of six major District functional activities: instruction, support services, non-instructional, pension expense, OPEB expense and interest on long-term liabilities. The table also shows each functional activity's net cost (total cost less charges for services generated by the activities and intergovernmental aid provided for specific programs). The net cost presents the financial burden that was placed on the State and District's taxpayers by each of these functions.

**Table 3
Net Cost of Governmental Activities**

	Total Expenses		Percentage Change
	2023	2022	
Instruction	\$ 19,678,343	\$ 17,924,146	9.79 %
Support services	11,393,241	11,393,264	(0.00) %
Non-instructional	2,266,573	2,208,464	2.63 %
Pension Expense	5,156,107	2,352,955	119.13 %
OPEB Expense	(186,948)	(89,583)	(108.69) %
Interest on long-term liabilities	(4,899)	139,125	(103.52) %
Total expenses	\$ 38,302,417	\$ 33,928,371	12.89 %

	Net (Expense) Revenue		Percentage Change
	2023	2022	
Instruction	\$ (14,325,243)	\$ (9,796,260)	(46.23) %
Support services	(9,360,031)	(8,242,300)	(13.56) %
Non-instructional	(238,207)	255,392	(193.27) %
Pension Expense	(5,156,107)	(2,352,955)	(119.13) %
OPEB Expense	186,948	89,583	108.69 %
Interest on long-term liabilities	4,899	(139,125)	103.52 %
Total net (expense) revenue	\$ (28,887,741)	\$ (20,185,665)	(43.11) %

- Net cost of governmental activities [(\$28,887,741) for 2023 and (\$20,185,663) for 2022] was financed by general revenue, which is primarily made up of property taxes (\$9,237,055 for 2023 and \$8,443,322 for 2022) and state and federal revenues (\$18,030,106 for 2023 and \$17,052,596 for 2022).
- Investment earnings amounted to \$20,756 for 2023 and \$51,291 for 2022.

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As noted earlier, the District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds. The focus of the district's governmental funds is to provide information on current inflows, outflows and balances of spendable resources. Such information is useful in assessing the district's financing requirements. In particular, unassigned fund balance may serve as a useful measure of the district's net resources available for spending at the end of the fiscal year.

The financial performance of the district as a whole is reflected in its governmental funds. As the District completed the year, its governmental funds reported a combined fund balance of \$18,804,530, a decrease of \$1,929,707, which includes a prior period adjustment of \$32,362 and a decrease in inventory of \$28,363.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Management's Discussion and Analysis

For the Year Ended June 30, 2023

\$14,107,013 or 75% of the fund balance is unassigned, which represents the residual classification for the General Fund's fund balance that has not been assigned to other funds and that has not been restricted or assigned to specific purposes within the general fund. The remaining fund balance of \$4,697,517 or 25% is either non-spendable, restricted or assigned to indicate that it is not available for spending except only for the purposes to which it is restricted or assigned.

The General Fund is the principal operating fund of the district. The decrease in fund balance in the General Fund for the fiscal year was \$1,749,984, which included a prior period adjustment of \$32,362. The fund balance of Other Governmental Funds showed an decrease in the amount of \$379,560, which includes a decrease in reserve for inventory of \$28,363. The increase (decrease) in the fund balances for the other major funds was as follows:

Major Fund	Increase (Decrease)
QSCB Debt Fund	\$ 199,837

BUDGETARY HIGHLIGHTS

During the year, the District revised the annual operating budget. Budget revisions were made to address and correct the original budgets to reflect more accurately the sources and uses of funding for the School District.

A schedule showing the original and final budget amounts compared to the district's actual financial activity for the General Fund is provided in this report as required supplementary information.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets. As of June 30, 2023, the district's total capital assets were \$47,934,320, including land, construction in progress, school buildings, building improvements, improvements other than buildings, buses, other school vehicles, furniture and equipment, lease assets and subscription IT assets. This amount represents an increase of \$3,298,819 from 2022 due primarily to the addition of construction in progress, improvements other than buildings, mobile equipment, furniture and equipment, lease assets and subscription IT assets. Total accumulated depreciation/amortization, as of June 30, 2023, was \$25,132,774, and total depreciation/amortization expense for the year was \$1,194,966, resulting in total net capital assets of \$22,801,546.

Table 4
Capital Assets, Net of Accumulated Depreciation

	June 30, 2023	June 30, 2022	Percentage Change	
Land	\$ 600,235	\$ 600,235	-	%
Construction in Progress	2,317,213	437,306	429.88	%
Buildings	14,538,397	14,245,060	2.06	%
Building improvements	2,703,357	2,984,142	(9.41)	%
Improvements other than buildings	588,202	659,121	(10.76)	%
Mobile equipment	1,177,506	1,335,638	(11.84)	%
Furniture and equipment	490,271	376,455	30.23	%
Leased Assets	361,650		N/A	%
Subscription IT assets	24,715		N/A	%
Total	\$ 22,801,546	\$ 20,637,957	10.48	%

Additional information on the District's capital assets can be found in Note 5 and Note 6 included in this report.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Management's Discussion and Analysis

For the Year Ended June 30, 2023

Debt Administration. At June 30, 2023, the District had \$6,048,564 in outstanding long-term debt, including compensated absences, lease and subscription IT liabilities, of which \$382,630 is due within one year. During the fiscal year, the District made principal payments on outstanding long-term debt, lease liabilities and SBITA liabilities totaling \$308,867. The liability for compensated absences increased \$10,196 from the prior year.

Table 5
Outstanding Long-Term Debt

	<u>June 30, 2023</u>	<u>June 30, 2022</u>	<u>Percentage</u> <u>Change</u>
Three mill notes payable	\$ 1,340,000	\$ 1,540,000	(12.99) %
Energy efficiency loans payable	1,079,519	1,169,184	(7.67) %
Qualified school construction bonds payable	3,000,000	3,000,000	- %
Lease liabilities	362,448		N/A %
Subscription IT liabilities	24,148		N/A %
Compensated absences payable	242,449	252,645	(4.04) %
Total	\$ 6,048,564	\$ 5,961,829	1.45 %

Additional information on the district's long-term debt can be found in Note 6 and Note 7 included in this report.

CURRENT ISSUES

The Tishomingo County Special Municipal Separate School District is financially stable. The District is proud of its community support of the public schools.

The District has committed itself to financial excellence for many years. The District's system of financial planning, budgeting and internal financial control is well regarded. The District plans to continue its sound fiscal management to meet the challenges of the future.

The District actively pursues grant funding to supplement the local, state and federal revenues.

Enrollment for the 2022-2023 year decreased by 0.70% to 2,821 students.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

If you have any questions about this report or need additional financial information, contact the Superintendent's Office of the Tishomingo County Special Municipal Separate School District, 1620 Paul Edmondson Drive, Iuka, MS 38852.

FINANCIAL STATEMENTS

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Statement of Net Position
June 30, 2023

Exhibit A

	Governmental Activities
Assets	
Cash and cash equivalents	\$ 16,829,076
Due from other governments	765,933
Inventories	40,691
Restricted assets	3,063,434
Capital assets, non-depreciable:	
Land	600,235
Construction in progress	2,317,213
Capital assets, net of accumulated depreciation:	
Buildings	14,538,397
Building improvements	2,703,357
Improvements other than buildings	588,202
Mobile equipment	1,177,506
Furniture and equipment	490,271
Leased Assets	361,650
Subscription IT assets	24,715
Total Assets	<u>43,500,680</u>
Deferred Outflows of Resources	
Deferred outflows - pensions	22,748,085
Deferred outflows - OPEB	535,905
Total Deferred Outflows of Resources	<u>23,283,990</u>
Liabilities	
Accounts payable and accrued liabilities	1,894,604
Interest payable on long-term liabilities	38,114
Long-term liabilities, due within one year:	
Leases liabilities	85,270
Capital related liabilities	273,583
Non-capital related liabilities	12,122
SBITA liabilities	11,655
Net OPEB liability	83,509
Long-term liabilities, due beyond one year:	
Leases liabilities	277,178
Capital related liabilities	5,145,936
Non-capital related liabilities	230,327
SBITA liabilities	12,493
Net pension liability	55,207,790
Net OPEB liability	1,686,379
Total Liabilities	<u>64,958,960</u>
Deferred Inflows of Resources	
Deferred inflows - pensions	12,214,878
Deferred inflows - OPEB	930,657
Total Deferred Inflows of Resources	<u>13,145,535</u>
Net Position	
Net investment in capital assets	16,995,431
Restricted for:	
Expendable:	
School-based activities	542,440
Debt service	3,036,044
Unemployment benefits	57,877
Unrestricted	(31,951,617)
Total Net Position (deficit)	<u>\$ (11,319,825)</u>

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

**Statement of Activities
For the Year Ended June 30, 2023**

Exhibit B

					Net (Expense)
					Revenue and
					Changes in
					Net Position
Program Revenues					
		Charges for	Operating	Capital	
Functions/Programs	Expenses	Services	Grants and	Grants and	Governmental
			Contributions	Contributions	Activities
Governmental Activities:					
Instruction	\$ 19,678,343	\$ 1,066,846	\$ 4,286,254	\$ -	\$ (14,325,243)
Support services	11,393,241	1,442	2,031,768	-	(9,360,031)
Non-instructional	2,266,573	406,029	1,622,337	-	(238,207)
Pension expense	5,156,107	-	-	-	(5,156,107)
OPEB expense	(186,948)	-	-	-	186,948
Interest on long-term liabilities	(4,899)	-	-	-	4,899
Total Governmental Activities	\$ 38,302,417	\$ 1,474,317	\$ 7,940,359	\$ -	\$ (28,887,741)
General Revenues:					
Taxes:					
General purpose levies					8,690,969
Debt purpose levies					546,086
Unrestricted grants and contributions:					
State					17,098,776
Federal					931,330
Unrestricted investment earnings					20,756
Other					450,563
Total General Revenues					27,738,480
Change in Net Position					(1,149,261)
Net Position (deficit) - Beginning, as previously reported					(10,218,799)
Prior Period Adjustments					48,235
Net Position (deficit) - Beginning, as restated					(10,170,564)
Net Position (deficit) - Ending					\$ (11,319,825)

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Governmental Funds

Balance Sheet
June 30, 2023

Exhibit C

	Major Funds		Other	Total
	General	QSCB Debt	Governmental	Governmental
	Fund	Fund	Funds	Funds
Assets				
Cash and cash equivalents	\$ 16,099,464		\$ 1,307,900	\$ 17,407,364
Investments		2,485,146	-	2,485,146
Due from other governments	329,052		436,881	765,933
Due from other funds	246,314		7,897	254,211
Inventories			40,691	40,691
Total Assets	<u>\$ 16,674,830</u>	<u>\$ 2,485,146</u>	<u>\$ 1,793,369</u>	<u>\$ 20,953,345</u>
<u>Liabilities and Fund Balances:</u>				
Liabilities:				
Accounts payable and accrued liabilities	\$ 1,544,775		\$ 349,829	\$ 1,894,604
Due to other funds	-		254,211	254,211
Total Liabilities	<u>1,544,775</u>	<u>-</u>	<u>604,040</u>	<u>2,148,815</u>
Fund Balances:				
Nonspendable:				
Inventory			40,691	40,691
Restricted:				
Unemployment benefits			57,877	57,877
Debt service		2,485,146	589,012	3,074,158
Food service			426,477	426,477
Grant activities			75,272	75,272
Assigned:				
School activities	1,023,042			1,023,042
Unassigned	<u>14,107,013</u>			<u>14,107,013</u>
Total Fund Balances	<u>15,130,055</u>	<u>2,485,146</u>	<u>1,189,329</u>	<u>18,804,530</u>
Total Liabilities and Fund Balances	<u>\$ 16,674,830</u>	<u>\$ 2,485,146</u>	<u>\$ 1,793,369</u>	<u>\$ 20,953,345</u>

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Governmental Funds

Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2023

Exhibit C-1

Total fund balances for governmental funds **\$ 18,804,530**

Amounts reported for governmental activities in the statement of Net Position are different because:

- Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds:

Land	\$ 600,235	
Construction in progress	2,317,213	
Buildings	30,262,944	
Building improvements	6,789,214	
Improvements other than buildings	1,476,252	
Mobile equipment	4,287,796	
Furniture and equipment	1,794,868	
Accumulated depreciation	(25,113,341)	
Lease Assets	369,345	
Accumulated amortization	(7,695)	
Subscription IT assets	36,453	
Accumulated amortization	<u>(11,738)</u>	22,801,546

- Some liabilities, including net pension obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net pension liability	(55,207,790)	
Deferred outflows and inflows of resources related to pensions are applicable to future periods and, therefore, are not reported in the funds:		
Deferred outflows of resources related to pensions	22,748,085	
Deferred inflows of resources related to pensions	<u>(12,214,878)</u>	(44,674,583)

- Some liabilities, including net OPEB obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net OPEB liability	(1,769,888)	
Deferred outflows and inflows of resources related to OPEB are applicable to future periods and, therefore, are not reported in the funds:		
Deferred outflows of resources related to OPEB	535,905	
Deferred inflows of resources related to OPEB	<u>(930,657)</u>	(2,164,640)

- Long-term liabilities and related accrued interest are not due and payable in the current period and, therefore, are not reported in the funds:

Other bonds payable	(3,000,000)	
Notes payable	(1,340,000)	
Loans payable	(1,079,519)	
Lease obligations	(362,448)	
SBITAs obligations	(24,148)	
Compensated absences	(242,449)	
Accrued interest payable	<u>(38,114)</u>	(6,086,678)

Net Position of governmental activities **\$ (11,319,825)**

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Governmental Funds

Statement of Revenues, Expenditures and Changes in Fund Balances
For the Year Ended June 30, 2023

Exhibit D

	Major Funds		Other	Total
	General	QSCB Debt	Governmental	Governmental
	Fund	Fund	Funds	Funds
Revenues:				
Local sources	\$ 10,252,916	\$ (25,159)	\$ 953,491	\$ 11,181,248
State sources	17,878,153	-	2,010,885	19,889,038
Federal sources	931,330	-	5,150,098	6,081,428
Total Revenues	29,062,399	(25,159)	8,114,474	37,151,714
Expenditures:				
Instruction	17,444,277	-	4,091,142	21,535,419
Support services	10,843,383	-	1,631,873	12,475,256
Noninstructional services	164,189	-	2,187,658	2,351,847
Facilities acquisition and construction	2,732,309	-	-	2,732,309
Debt service:				
Principal	19,202		289,665	308,867
Interest	1,693		86,019	87,712
Other			1,250	1,250
Total Expenditures	31,205,053	-	8,287,607	39,492,660
Excess (Deficiency) of Revenues over (under) Expenditures	(2,142,654)	(25,159)	(173,133)	(2,340,946)
Other Financing Sources (Uses):				
Leases issued	369,345			369,345
SBITA issued	36,453			36,453
Insurance recovery	1,442			1,442
Payments held by escrow agent		224,996		224,996
Payment to QSCB debt escrow agent			(224,996)	(224,996)
Operating transfers in	106,413	-	173,330	279,743
Operating transfers out	(153,345)		(126,398)	(279,743)
Total Other Financing Sources (Uses)	360,308	224,996	(178,064)	407,240
Net Change in Fund Balances	(1,782,346)	199,837	(351,197)	(1,933,706)
Fund Balances:				
July 1, 2022, as previously reported	16,880,039	2,285,309	1,568,889	20,734,237
Prior period adjustments	32,362			32,362
July 1, 2022, as restated	16,912,401	2,285,309	1,568,889	20,766,599
Increase (Decrease) in inventory			(28,363)	(28,363)
June 30, 2023	\$ 15,130,055	\$ 2,485,146	\$ 1,189,329	\$ 18,804,530

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Governmental Funds

**Reconciliation of the Governmental Funds Statement of Revenues,
Expenditures and Changes in Fund Balances to the Statement of Activities
For the Year Ended June 30, 2023**

Exhibit D-1

Net change in fund balances - total governmental funds **\$ (1,933,706)**

Amounts reported for governmental activities in the statement of activities are different because:

1. Governmental funds report capital outlay as expenditures. However, in the statement of activities, the cost of capital assets is allocated over their estimated useful lives as depreciation expense. In the current period, these amounts are:

Capital outlay	\$ 2,937,992	
Depreciation expense	(1,175,533)	
Outlays for leases	369,345	
Amortization expense	(7,695)	
Outlays for SBITAs	36,453	
Amortization expense	<u>(11,738)</u>	2,148,824

2. In the statement of activities, only the gain/loss on the sale of assets is reported, while in the governmental funds, the proceeds from the sale increases financial resources. Thus, the change in net position differs from the change in fund balance by the cost of the assets sold. (1,108)

3. The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts and the difference between the carrying value of refunded debt and the acquisition cost of refunded debt when debt is first issued. These amounts are deferred and amortized in the statement of activities:

Leases issued	(369,345)	
SBITAs issued	(36,453)	
Payments of debt principal	289,665	
Payments of leases principal	6,897	
Payments of SBITAs principal	12,305	
Accrued interest payable	<u>93,861</u>	(3,070)

4. Some items relating to pensions and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. The activities include:

Pension expense	(5,156,107)	
Contributions subsequent to the measurement date	<u>3,538,210</u>	(1,617,897)

5. Some items relating to OPEB and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. The activities include:

OPEB expense	186,948	
Contributions subsequent to the measurement date	<u>88,915</u>	275,863

6. Some items reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in governmental funds. These activities include:

Change in compensated absences	10,196	
Change in inventory	<u>(28,363)</u>	(18,167)

Change in Net Position of governmental activities **\$ (1,149,261)**

The notes to the financial statements are an integral part of this statement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Note 1 – Summary of Significant Accounting Policies

The accompanying financial statements of the school district have been prepared in conformity with generally accepted accounting principles (GAAP) as prescribed by the Governmental Accounting Standards Board (GASB). GASB is the accepted standard-setting body for governmental accounting and financial reporting principles. The most significant of the school district's accounting policies are described below.

A. Financial Reporting Entity

As defined by accounting principles generally accepted in the United States of America, the school district is considered a "primary government." The school district is governed by a five (5) member board to which each member is elected by the citizens of each defined county district.

For financial reporting purposes, Tishomingo County Special Municipal Separate School District has included all funds and organizations. The district has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the district are such that exclusion would cause the district's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the district to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the district.

B. Government-wide and Fund Financial Statements

Government-wide Financial Statements – The Statement of Net Position and the Statement of Activities report information on all of the non-fiduciary activities of the district. For the most part, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for support.

The Statement of Net Position presents the district's non-fiduciary assets, deferred outflows, liabilities, and deferred inflows with the difference reported as net position. Net position is reported in three categories:

1. Net investment in capital assets consists of capital assets, net of accumulated depreciation, and reduced by outstanding balances of bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.
2. Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation.
3. Unrestricted net position consists of net position not meeting the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function, or segment, are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property taxes and other items not included among program revenues are reported instead as general revenues.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Fund Financial Statements - Separate financial statements are provided for governmental funds. Major individual governmental funds are reported in separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as other governmental funds.

The school district reports the following major governmental funds:

General Fund - This is the school district's primary operating fund. The general fund is used to account for and report all financial resources not accounted for and reported in another fund.

QSCB Debt Fund – This is a debt service fund that is used as a debt sinking fund to account for amounts set aside to retire the Qualified School Construction Bonds at maturity.

All other governmental funds not meeting the criteria established for major funds are presented in the other governmental column of the fund financial statements.

GOVERNMENTAL FUNDS

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Debt Service Funds - Debt Service Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

In the government-wide Statement of Net Position and Statement of Activities, governmental activities are presented using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred or economic asset used, regardless of the timing of the related cash flows. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Measurable means knowing or being able to reasonably estimate the amount. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end. Expenditures (including capital outlay) are recorded when the related fund liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and judgments, are recorded only when payment is due.

Federal grants and assistance awards made on the basis of entitlement periods are recorded as receivables and revenues when entitlement occurs. Federal reimbursement type grants are recorded as revenues when the related expenditures are recognized. Use of grant resources is conditioned upon compliance with terms of the grant agreements and applicable federal regulations, which include subjecting grants to financial and compliance audits.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Property taxes, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual.

Ad valorem property taxes are levied by the governing authority of the county on behalf of the school district based upon an order adopted by the school board of the school district requesting an ad valorem tax effort in dollars. Since the taxes are not levied and collected by the school district, the revenues to be generated by the annual levies are not recognized until the taxes are actually collected by the tax levying authority.

Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under leases are reported as other financing sources.

Under the terms of grant agreements, the district funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the district's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

The effect of inter-fund activity has been eliminated from the government-wide statements.

Revenues from the Mississippi Adequate Education Program are appropriated on a fiscal year basis and are recorded at the time the revenues are received from the State of Mississippi.

The account classifications used in the financial statements conform to the broad classifications recommended in *Governmental Accounting, Auditing, and Financial Reporting*, issued in 2012 by the Government Finance Officers Association and are consistent with the broad classifications recommended in *Financial Accounting for Local and State School Systems, 2014*, issued by the U.S. Department of Education.

D. Encumbrances

An encumbrance system is maintained to account for commitments or assignments resulting from approved purchase orders, work orders and contracts. However, the school district attempts to liquidate all encumbrances at year-end. Encumbrances outstanding at year-end are not reported within committed or assigned fund balances.

E. Assets, liabilities, deferred outflows/inflows, and net position/fund balances

1. Cash, Cash equivalents and Investments

Cash and cash equivalents

The district's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. The school district deposits excess funds in the financial institutions selected by the school board. State statutes specify how these depositories are to be selected.

Investments

The school district can invest its excess funds, as permitted by Section 29-3-113, Miss. Code Ann. (1972), in interest-bearing deposits or other obligations of the types described in Section 27-105-33, Miss. Code Ann. (1972), or in any other type investment in which any other agency, instrumentality or subdivision of the State of Mississippi may invest, except that 100% of said funds are authorized to be so invested.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

For accounting purposes, certificates of deposit are classified as investments if they have an original maturity greater than three months when acquired. Investments for the district are reported at fair market value.

2. Receivables and payables

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e., the current portion of inter-fund loans) or "advances to/from other funds" (i.e. the non-current portion of inter-fund loans). All other outstanding balances between funds are reported as "due to/from other funds."

Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable governmental funds to indicate that they are not available for appropriation and are not expendable available financial resources.

3. Due from Other Governments

Due from other governments represents amounts due from the State of Mississippi and various grants and reimbursements from other governments.

4. Inventories and Prepaid Items

Donated commodities are received from the USDA and are valued at USDA cost. Other inventories are valued at cost (calculated on the first-in, first-out basis). The costs of governmental fund type inventories are reported as expenditures when purchased.

5. Restricted Assets

Certain resources set aside for repayment of debt are classified as restricted assets on the Statement of Net Position because their use is limited by applicable debt statutes, e.g. Qualified School Construction Bond sinking funds.

6. Capital Assets

Capital assets include land, improvements to land, easements, water rights, timber rights, buildings, building improvements, vehicles, machinery, equipment, works of art and historical treasures, infrastructure, and all other tangible or intangible assets that are used in operations and that have initial useful lives extending beyond a single reporting period. Capital assets are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost or estimated historical cost based on appraisals or deflated current replacement cost. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the district as assets with an initial, individual cost in excess of the thresholds in the table below.

Capital acquisition and construction are reflected as expenditures in the Governmental Fund statements and the related assets are reported as capital assets in the governmental activities column in the government-wide financial statements.

Depreciation is calculated on the straight-line basis for all assets, except land.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

The following schedule details the capitalization thresholds:

	Capitalization Policy	Estimated Useful Life
Land	\$ 0	0
Buildings	50,000	40 years
Building improvements	25,000	20 years
Improvements other than buildings	25,000	20 years
Mobile equipment	5,000	5-10 years
Furniture and equipment	5,000	3-7 years
Right to use leased property asset	**	**
Right to use Subscription IT asset	***	***

(**) A capitalization threshold amount has not been set for right to use property assets. Right to use leased property assets will be amortized in a rational and systematic manner over the shorter of the lease term or the useful life of the underlying asset.

(***) A capitalization threshold amount has not been set for right to use subscription IT assets. Right to use subscription IT assets will be amortized in a rational and systematic manner over the shorter of the subscription term or the useful of the underlying IT asset.

The term 'depreciation' includes the amortization of intangible assets.

7. Deferred outflows/inflows of resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The District presents deferred outflows related to pensions and OPEB.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District presents deferred inflows related to pensions and OPEB.

See Notes 9, 10, and 16 for further details.

8. Compensated Absences

Employees of the school district accumulate sick leave at a minimum amount as required by state law. A greater amount may be provided by school district policy provided that it does not exceed the provisions for leave as provided in Sections 25-3-93 and 25-3-95. Some employees are allowed personal leave and/or vacation leave in accordance with school district policy. The district pays for unused leave for employees as required by Section 37-7-307(5), Miss. Code Ann. (1972).

The liability for these compensated absences is recorded as a long-term liability in the government-wide statements. The current portion of this liability is estimated based on historical trends. In the fund financial statements, governmental funds report the liability for compensated absences from expendable available financial resources only if the payable has matured, for example, an employee retires

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

9. Leases

The Governmental Accounting Standards Board (GASB) issued Statement No. 87, Leases (GASB 87) to establish a single leasing model for accounting and reporting purposes. This guidance is intended to enhance the accountability, consistency and comparability of lease activities reported by governments. GASB 87 was implemented during fiscal year 2022.

When acting as the lessee, the school district uses the estimated borrowing rate in effect at the date of the lease inception to calculate the present value of lease payments when the rate implicit in the lease is not known.

When acting as the lessor, the school district uses 4% to calculate the present value of lease payments involving the leasing of 16th section school lands. See Note 6 for details.

10. Subscription-Based Information Technology Arrangements

The Governmental Accounting Standards Board (GASB) issued Statement No. 96, Subscription-Based Information Technology Arrangements (SBITAs) (GASB 96) to establish uniform accounting and financial reporting requirements for SBITAs, to improve comparability of financial statements among governments that have entered into SBITAs, and to enhance understandability, reliability, relevance and consistency of information about SBITAs. See Note 6 for details.

11. Long-term Liabilities and Bond Discounts/Premiums

In the government-wide financial statements, outstanding debt is reported as liabilities. Bond discounts or premiums and the difference between reacquisition price and the net carrying value of refunded debt are capitalized and amortized over the terms of the respective bonds using a method that approximates the effective interest method.

The governmental fund financial statements recognize the proceeds of debt and premiums as other financing sources of the current period. Issuance costs are reported as expenditures. See Note 7 for details.

12. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Public Employees' Retirement System (PERS) and additions to/deductions from PERS' fiduciary net position have been determined on the same basis as they are reported by PERS. For this purpose, the benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. See Note 9 for details.

13. Postemployment Benefits Other than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the State and School Employees' Life and Health Plan (OPEB Plan) and additions to/deductions from the OPEB Plan's fiduciary net position have been determined on the same basis as they are reported by the OPEB Plan. For this purpose, benefit payments are recorded when the OPEB benefits come due. Investments are reported at fair value as determined by the state. See Note 10 for details.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

14. Fund Balances

Fund balance for governmental funds is reported in classifications that comprise a hierarchy based primarily on the extent to which the government is bound to honor constraints on the specific purposes for which amounts in those funds can be spent.

Governmental fund balance is classified as non-spendable, restricted, committed, assigned or unassigned. Following are descriptions of fund classifications used by the district:

Non-spendable fund balance includes items that cannot be spent. This includes activity that is not in a spendable form (inventories, prepaid amounts, long-term portion of loans/notes receivable, or property held for resale unless the proceeds are restricted, committed, or assigned) and activity that is legally or contractually required to remain intact, such as a principal balance in a permanent fund.

Restricted fund balance includes amounts that have constraints placed upon the use of the resources either by an external party or imposed by law through a constitutional provision or enabling legislation.

Committed fund balance includes amounts that can be used only for the specific purposes pursuant to constraints imposed by a formal action of the School Board, the District's highest level of decision-making authority. This formal action is the official action of the school board to approve committed fund balances and to detail the action in its official minutes. Currently there is no committed fund balance for this school district.

Assigned fund balance includes amounts that are constrained by the district's intent to be used for a specific purpose, but are neither restricted nor committed. For governmental funds, other than the general fund, this is the residual amount within the fund that is not restricted or committed. Assignments of fund balance are created by the district management pursuant to authorization established by school board policy.

Unassigned fund balance is the residual classification for the general fund. This classification represents fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund. The general fund should be the only fund that reports a positive unassigned fund balance amount. In other governmental funds, it may be necessary to report a negative unassigned fund balance.

When an expenditure/expense is incurred for purposes for which both restricted and unrestricted (committed, assigned, or unassigned) resources are available, it is the district's general policy to use restricted resources first. When expenditures/expenses are incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the district's general policy to spend committed resources first, followed by assigned amounts, and then unassigned amounts.

15. Accounting Standards Update

GASB 96, Subscription-Based Information Technology Arrangements, was implemented during the 2023 fiscal year. Prior to the issuance of this statement there was no accounting or financial reporting guidance specifically for SBITAs. The purposes of the standard is to establish uniform accounting and financial reporting requirements for SBITAs, to improve comparability of financial statements among governments that have entered into SBITAs, and to enhance understandability, relatability, relevance, and consistency of information about SBITAs.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Note 2 – Cash and Cash Equivalents and Investments

The district follows the practice of aggregating the cash assets of various funds to maximize cash management efficiency and returns. Restrictions on deposits and investments are imposed by statutes as follows:

Deposits. The school board must advertise and accept bids for depositories no less than once every three years as required by Section 37-7-333, Miss. Code Ann. (1972). The collateral pledged for the school district's deposits in financial institutions is held in the name of the State Treasurer under a program established by the Mississippi State Legislature and is governed by Section 27-105-5, Miss. Code Ann. (1972). Under this program, the entity's funds are protected through a collateral pool administered by the State Treasurer. Financial institutions holding deposits of public funds must pledge securities as collateral against those deposits. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation.

Investments. Section 29-3-113 and 37-59-43, Miss. Code Ann. (1972), authorizes the school board to invest excess funds in the types of investments authorized by Section 27-105-33(d) and (e), Miss. Code Ann. (1972). This section permits the following types of investments: (a) certificates of deposit or interest bearing accounts with qualified state depositories; (b) direct United States Treasury obligations; (c) United States Government agency, United States Government instrumentality or United States Government sponsored enterprise obligations, not to exceed fifty percent of all monies invested with maturities of thirty days or longer; (d) direct security repurchase agreements and reverse direct security repurchase agreements of any federal book entry of only those securities enumerated in (b) and (c) above; (e) direct obligations issued by the United States of America that are deemed to include securities of, or other interests in, any open-end or closed-end management type investment company or investment trust approved by the State Treasurer and the Executive Director of the Department of Finance and Administration, not to exceed twenty percent of invested excess funds. Investment income on bond funds (Capital Projects), bond sinking funds (Debt Service Funds) and sixteenth section principal funds (Permanent Funds) must be credited to those funds. Investment income of \$100 or more of any fund must be credited to that fund. Investment income of less than \$100 can be credited to the General Fund.

Cash and Cash Equivalents

The carrying amount of the school district's deposits with financial institutions reported in the governmental funds was \$17,407,364. The carrying amount of deposits in the government-wide financial statements was reported as cash and cash equivalents in the amount of \$16,829,076 and a portion of restricted assets in the amount of \$578,288.

Custodial Credit Risk - Deposits. Custodial credit risk is defined as the risk that, in the event of the failure of a financial institution, the district will not be able to recover deposits or collateral securities that are in the possession of an outside party. The district does not have a deposit policy for custodial credit risk. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation. Deposits above FDIC coverage are collateralized by the pledging financial institution's trust department or agent in the name of the Mississippi State Treasurer on behalf of the District. As of June 30, 2023, none of the District's bank balance of \$17,914,181 was exposed to custodial credit risk.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Investments

As of June 30, 2023, the district had the following investments.

Investment Type	Rating	Maturities	Fair Value
QSCB Construction Bonds Common Trust Funds 2012-A	N/A	Various	<u>\$2,485,146</u>

The district categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The district has the following recurring fair value measurements as of June 30, 2023:

QSCB Construction Bonds Common Trust Funds 2012-A of \$2,485,146 are valued using quoted market prices (Level 1 inputs).

Interest Rate Risk. The district does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk. State law limits investments to those prescribed in Sections 27-105-33(d) and 27-105-33(e), Miss. Code Ann. (1972). The district does not have a formal investment policy that would further limit its investment choices or one that addresses credit risk.

Custodial Credit Risk - Investments. Custodial credit risk is defined as the risk that, in the event of the failure of the counterparty, the district will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The district does not have a formal investment policy that addresses custodial credit risk. Of the District's investments in QSCB Construction Bonds Common Trust Funds 2012-A, \$2,485,146, of underlying securities are held by the investment's counterparty, not in the name of the District.

Concentration of Credit Risk. Disclosure of investments by amount and issuer for any issuer that represents five percent or more of total investments is required. This requirement does not apply to investments issued or explicitly guaranteed by the U.S. government, investments in mutual funds and external investment pools, and other pooled investments.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 3 – Inter-fund Receivables, Payables and Transfers

The following is a summary of inter-fund transactions and balances:

A. Due From/To Other Funds

Receivable Fund	Payable Fund	Amount
General Fund	Other Governmental Funds	\$ 246,314
Other Governmental Funds	Other Governmental Funds	7,897
Total		<u>\$ 254,211</u>

The purpose of the inter-fund loans was to cover federal funds not received prior to year-end.

C. Inter-fund Transfers

Transfers Out	Transfers In	Amount
General Fund	Other Governmental Funds	\$ 153,345
Other Governmental Funds	General Fund	106,413
Other Governmental Funds	Other Governmental Funds	19,985
Total		<u>\$ 279,743</u>

The primary purpose of inter-fund transfers was to provide funds for daily operations. All transfers were routine and consistent with the activities of the fund making the transfer.

Note 4 – Restricted Assets

The restricted assets balance is the Investments balance of \$2,485,146 of the QSCB Bond Retirement Fund. The remaining \$578,288 represents debt service funds whose balances are restricted for future debt services requirements.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 5 – Capital Assets

The following is a summary of changes in capital assets for governmental activities:

The term depreciation includes amortization of intangible assets.

	Balance 7/1/2022	Increases	Decreases	Completed Construction	Adjustments	Balance 6/30/2023
Governmental Activities:						
<u>Non-depreciable capital assets:</u>						
Land	\$ 600,235	\$	\$	\$	\$	\$ 600,235
Construction in progress	437,306	2,706,809		(826,902)		2,317,213
Total non-depreciable capital assets	1,037,541	2,706,809	-	(826,902)	-	2,917,448
<u>Depreciable capital assets:</u>						
Buildings	29,436,041			826,902	1	30,262,944
Building Improvements	6,803,188				(13,974)	6,789,214
Improvements other than buildings	1,520,591	25,500			(69,839)	1,476,252
Mobile equipment	4,247,352	61,646	7,312		(13,890)	4,287,796
Furniture and equipment	1,590,788	144,037	37,658		97,701	1,794,868
Total depreciable capital assets	43,597,960	231,183	44,970	826,902	(1)	44,611,074
<u>Less accumulated depreciation for:</u>						
Buildings	15,190,981	533,566				15,724,547
Building improvements	3,819,046	271,569			(4,758)	4,085,857
Improvements other than buildings	861,470	33,676			(7,096)	888,050
Mobile equipment	2,911,714	207,121	6,581		(1,964)	3,110,290
Furniture and equipment	1,214,333	129,601	37,281		(2,056)	1,304,597
Total accumulated depreciation	23,997,544	1,175,533	43,862	-	(15,874)	25,113,341
Total depreciable capital assets, net	19,600,416	(944,350)	1,108	826,902	15,873	19,497,733
Governmental activities capital assets, net	\$ 20,637,957	\$ 1,762,459	\$ 1,108	\$ -	\$ 15,873	\$ 22,415,181
Lease and subscription IT assets, net (Note 6)	0					386,365
Total capital assets, net as reported in the statement of net position	20,637,957					22,801,546

Adjustments were made to correct beginning balances that were erroneously recorded.

Depreciation and amortization expense was charged to the following governmental functions:

	Amount
Governmental activities:	
Instruction	\$ 661,235
Support services	458,218
Non-instructional	56,080
Total depreciation expense and Amortization expense - Governmental activities	<u>\$ 1,175,533</u>

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

The details of construction-in-progress are as follows:

	Spent to June 30, 2023	Remaining Commitment
Governmental Activities:		
Tishomingo County School District 2023 Roofing Improvements	\$ 38,976	\$ 879,126
Tishomingo County Schools PACT - Phase I	2,247,158	1,355,626
Tishomingo County Schools CH - Phase II	31,079	887,978
Total governmental activities	<u>\$ 2,317,213</u>	<u>\$ 3,122,730</u>

Construction projects included in governmental activities are funded with District Maintenance Funds.

Note 6 – Intangible Right-to-Use Leases and Subscription Based IT Assets

A summary of lease and subscription IT asset activity during the year ended June 30, 2023 is as follows:

	Balance 7/1/2022	Additions	Retirements	Adjustments	Balance 6/30/2023
<u>Lease Assets:</u>					
Furniture and Equipment	\$	369,345			369,345
Total Lease Assets		-	369,345	-	-
		-	369,345	-	369,345
<u>Less Accumulated Amortization:</u>					
Furniture and Equipment		7,695			7,695
Total Accumulated Amortization		-	7,695	-	7,695
Total Lease Assets, net		-	361,650	-	361,650
 Subscription IT Assets	\$	-	36,453	-	36,453
Less Accumulated Amortization		-	11,738	-	11,738
Total Subscription IT Assets, net		-	24,715	-	24,715
 Total Lease and Subscription IT Assets, net	\$	-	386,365	-	386,365

A summary of lease and subscription IT liabilities during the year ended June 30, 2023 is as follows:

	Balance 7/1/2022	Additions	Retirements	Adjustments	Balance 6/30/2023	Due in One Year
Lease Liabilities	\$	369,345	6,897		362,448	85,270
Subscription IT Liabilities		-	36,453	12,305	24,148	11,655
Total	\$	-	405,798	19,202	386,596	96,925

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Leases

As Lessee:

The school district is a lessee for various non-cancellable leases of equipment. For leases that have a maximum possible term of 12 months or less at commencement, the school district recognizes expense based on the provisions of the lease contract. For all other leases, other than short term, the school district recognized a lease and an intangible right-to-use lease asset.

At lease commencement, the school district initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, plus lease payments made at or before the lease commencement date, plus any initial direct costs ancillary to placing the underlying asset into service, less any lease incentives received at or before the lease commencement date. Subsequently, the lease asset is amortized in amortization expense on a straight-line basis over the shorter of the lease term or the useful life of the underlying asset.

The school district generally uses its estimated borrowing rate at lease inception as the discount rate for leases unless the rate that the lessor charges is known.

The lease term includes the non-cancellable period of the lease plus any additional periods covered by either a school district or lessor option to extend for which it is reasonably certain to be exercised or terminate for which it is reasonably certain to not be exercised. Periods in which both the school district and the lessor have a unilateral option to terminate (or if both parties have agreed to extend) are excluded from the lease term.

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Copier	5.50%	6/23/2023	6/23/2027	\$ 369,345	\$ 362,448
Total				<u>\$ 369,345</u>	<u>\$ 362,448</u>

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2024	\$ 85,270	17,806	103,076
2025	90,079	12,997	103,076
2026	95,161	7,915	103,076
2027	91,938	2,548	94,486
Total	<u>\$ 362,448</u>	<u>41,266</u>	<u>403,714</u>

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

SBITAs

The school district has noncancellable SBITAs of various IT software. For subscriptions that have a maximum possible term of 12 months or less at commencement, the school district recognizes expense based on the provisions of the subscription arrangement. For all other subscription-based information technology arrangements, other than short term, the school district recognized a subscription payable and an intangible right-to-use subscription asset.

At subscription commencement, the school district initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription asset is initially measured as the initial amount of the subscription liability plus payments associated with the subscription made to the vendor at the inception of the arrangement, plus capitalized implementation costs, less vendor incentives. Subsequently, the subscription asset is amortized in depreciation and amortization expense on a straight-line basis over the shorter of the subscription term or the useful life of the underlying asset.

The school district generally uses U. S. Treasury rate at subscription inception as the discount rate for subscriptions unless the rate that the lessor charges is known. The estimated incremental borrowing rate is the rate the district would be charged for borrowing the subscription payment amounts during the subscription term.

The subscription term includes the noncancellable period of the subscription plus any additional periods covered by either a school district or lessor option to extend for which it is reasonably certain to be exercised or to terminate for which it is reasonably certain NOT to be exercised. Periods in which both the school district and the lessor have a unilateral option to terminate (or if both parties have agreed to extend) are excluded from the subscription term.

The school district has entered into two (2) subscription IT arrangements.

Details of the subscription obligations are as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
1. Turnitin	4.08%	8/6/2022	7/29/2025	\$ 14,852	9,852
2. Ion Wave	4.08%	7/1/2022	1/15/2026	21,601	14,296
Total				<u>\$ 36,453</u>	<u>\$ 24,148</u>

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2024	\$ 11,655	985	12,640
2025	12,493	482	12,975
Total	<u>\$ 24,148</u>	<u>1,467</u>	<u>25,615</u>

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Note 7 – Long-term Liabilities

The following is a summary of changes in long-term liabilities and other obligations for governmental activities:

	Balance 7/1/2022	Additions	Reductions	Balance 6/30/2023	Amounts due within one year
A. Three mill notes payable	\$ 1,540,000	\$	\$ 200,000	\$ 1,340,000	\$ 200,000
B. Energy efficiency loans payable	1,169,184		89,665	1,079,519	73,583
C. Qualified school construction bonds payable	3,000,000			3,000,000	
D. Compensated absences payable	252,645		10,196	242,449	12,122
Total	\$ 5,961,829	\$ -	\$ 299,861	\$ 5,661,968	\$ 285,705

A. Three mill notes payable

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Three mill note payable, Series 2016	2.07%	07/01/16	07/01/26	\$ 2,500,000	\$ 1,340,000
Total				<u>\$ 2,500,000</u>	<u>\$ 1,340,000</u>

The following is a schedule by years of the total payments due on this debt:

Three mill note payable of July 1, 2016.

Year Ending June 30	Principal	Interest	Total
2024	\$ 200,000	27,738	227,738
2025	190,000	23,598	213,598
2026	470,000	19,665	489,665
2027	480,000	9,936	489,936
Total	<u>\$ 1,340,000</u>	<u>80,937</u>	<u>1,420,937</u>

This debt will be retired from the 3 Mill 2016 Debt Fund.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

B. Energy efficiency loan payable

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
LED Upgrade	1.29%	11/12/21	11/12/33	\$ 1,169,184	1,079,519
Total				<u>\$ 1,169,184</u>	<u>\$ 1,079,519</u>

The following is a schedule by years of the total payments due on this debt:

Energy efficiency loan payable issue of 11/12/21.

Year Ending June 30	Principal	Interest	Total
2024	\$ 73,583	20,905	94,488
2025	77,939	19,480	97,419
2026	82,468	17,971	100,439
2027	87,175	16,374	103,549
2028	92,067	14,686	106,753
2029 - 2033	540,625	44,657	585,282
2034	125,662	2,433	128,095
Total	<u>\$ 1,079,519</u>	<u>136,506</u>	<u>1,216,025</u>

This debt will be retired from the District Maintenance Fund.

An energy efficiency agreement dated November 11, 2021, was executed by and between the District and Bank of America.

The agreement authorized the borrowing of \$1,169,184 for the purchase of energy efficiency equipment, machinery, supplies, building modifications and other energy saving items. Payments of the agreement shall be made from the Bank of America Debt Service Fund and not exceed fifteen (15) years.

The District entered into the energy efficiency agreement under the authority of Section 31-7-14, Miss. Code Ann. (1972).

Upon written notice to Bank of America, the District has the option of repaying the total amount due as set forth by the agreement.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

C. Qualified school construction bonds payable

As more fully explained in Note 13, debt has been issued by the school district that qualifies as Qualified School Construction bonds. Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Qualified School Construction Bonds, Series 2009-B	1.05%	12/04/09	09/15/24	\$ 3,000,000	\$ 3,000,000
Total				<u>\$ 3,000,000</u>	<u>\$ 3,000,000</u>

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2024	\$ -	31,500	31,500
2025	3,000,000	31,500	3,031,500
Total	<u>\$ 3,000,000</u>	<u>63,000</u>	<u>3,063,000</u>

D. Compensated absences payable

As more fully explained in Note 1(E)(8), compensated absences payable is adjusted on an annual basis as required by Section 37-7-307(5), Miss. Code Ann. (1972). Compensated absences will be paid from the fund from which the employees' salaries were paid.

Note 8 – Other Commitments

Commitments under construction contracts are described in Note 5.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 9 – Defined Benefit Pension Plan

General Information about the Pension Plan

Plan Description. The school district contributes to the Public Employees' Retirement System of Mississippi (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Miss. Code Ann. Section 25-11-1 et seq., (1972, as amended) and may be amended only by the Mississippi Legislature. PERS issues a publicly available financial report that includes financial statements and required supplementary information. That report is available at www.pers.ms.gov.

Benefits provided. Membership in PERS is a condition of employment granted upon hiring for qualifying employees and officials of the State of Mississippi, state universities, community and junior colleges, and teachers and employees of the public school districts. For those persons employed by political subdivisions and instrumentalities of the State of Mississippi, membership is contingent upon approval of the entity's participation in PERS by the PERS' Board of Trustees. If approved, membership for the entity's employees is a condition of employment and eligibility is granted to those who qualify upon hiring. Participating members who are vested and retire at or after age 60 or those who retire regardless of age with at least 30 years of creditable service (25 years of creditable service for employees who became members of PERS before July 1, 2011) are entitled, upon application, to an annual retirement allowance payable monthly for life in an amount equal to 2.0 percent of their average compensation for each year of creditable service up to and including 30 years (25 years for those who became members of PERS before July 1, 2011), plus 2.5 percent for each additional year of creditable service with an actuarial reduction in the benefit for each year of creditable service below 30 years or the number of years in age that the member is below 65, whichever is less. Average compensation is the average of the employee's earnings during the four highest compensated years of creditable service. Benefits vest upon completion of eight years of membership service (four years of membership service for those who became members of PERS before July 1, 2007). PERS also provides certain death and disability benefits. A Cost-of-Living Adjustment (COLA) payment is made to eligible retirees and beneficiaries. The COLA is equal to 3.0 percent of the annual retirement allowance for each full fiscal year of retirement up to the year in which the retired member reaches age 60 (55 for those who became members of PERS before July 1, 2011), with 3.0 percent compounded for each fiscal year thereafter.

Contributions. PERS members are required to contribute 9.00% of their annual covered salary, and the school district is required to contribute at an actuarially determined rate. The employer's rate as of June 30, 2023 was 17.40% of annual covered payroll. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Section 25-11-1 of the Mississippi Code of 1972, as amended, and may be amended only by the Mississippi Legislature. The school district's contributions to PERS for the fiscal years ending June 30, 2023, 2022 and 2021 were \$3,538,210, \$3,212,831 and \$3,071,606, respectively, which equaled the required contributions for each year.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the school district reported a liability of \$55,207,790 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the school district's long-term share of contribution to the pension plan relative to projected contributions of all participating entities, actuarially determined. The school district's proportionate share used to calculate the June 30, 2023 net pension liability was 0.268212 percent, which was based on a measurement date of June 30, 2022. This was an increase of 0.002714 percent from its proportionate share used to calculate the June 30, 2022 net pension liability, which was based on a measurement date of June 30, 2021.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

For the year ended June 30, 2023, the District recognized pension expense of \$5,156,107. At June 30, 2023 the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 839,426	\$
Net difference between projected and actual earnings on pension plan investments	3,119,438	
Changes of assumptions	1,969,273	
Changes in proportion and differences between District contributions and proportionate share of contributions	13,281,738	12,214,878
District contributions subsequent to the measurement date	3,538,210	
Total	\$ <u>22,748,085</u>	\$ <u>12,214,878</u>

\$3,538,210 reported as deferred outflows of resources related to pensions resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net pension liability in the year ended June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30:	
2024	\$ 1,765,819
2025	2,162,717
2026	70,731
2027	<u>2,995,730</u>
Total	\$ <u>6,994,997</u>

Actuarial assumptions. The total pension liability as of June 30, 2022 was determined by actuarial valuation prepared as of June 30, 2021, and by the investment experience for the fiscal year ending June 30, 2022. The following actuarial assumptions are applied to all periods included in the measurement:

Inflation	2.40 percent
Salary increases	2.65 – 17.90 percent, including inflation
Investment rate of return	7.55 percent, net of pension plan investment expense, including inflation

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females. Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The actuarial assumptions used for the purposes of determining the total pension liability were based on the results of an actuarial experience study for the period July 1, 2016 to June 30, 2020. The experience report is dated April 20, 2021.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected nominal returns, net of pension plan investment expense and the assumed rate of inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The most recent target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Target Allocation</u>		<u>Long-Term Expected Real Rate of Return</u>	
Domestic Equity	25.00	%	4.60	%
International Equity	20.00		4.50	
Global Equity	12.00		4.85	
Fixed Income	18.00		1.40	
Real Estate	10.00		3.65	
Private Equity	10.00		6.00	
Private Infrastructure	2.00		4.00	
Private Credit	2.00		4.00	
Cash Equivalents	1.00		(0.10)	
Total	100	%		

Discount rate. The discount rate used to measure the total pension liability was 7.55 percent. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate (9.00%) and that employer contributions will be made at the current contribution rate (17.40%). Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate. The following table presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.55%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.55%) or 1-percentage-point higher (8.55%) than the current rate:

	<u>1% Decrease (6.55%)</u>	<u>Current Discount Rate (7.55%)</u>	<u>1% Increase (8.55%)</u>
District's proportionate share of the net pension liability	\$ 72,051,804	\$ 55,207,790	\$ 41,320,757

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued PERS financial report.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 10 – Other Postemployment Benefits (OPEB)

General Information about the OPEB Plan.

Plan description. State law mandates that all state, public education, library, junior and community college and retiring employees be offered health and life benefit coverage through the State and School Employees' Life and Health Insurance Plan (the Plan). The Plan was established by Section 25-15-3 et seq., Mississippi Code Ann. (1972), which may be amended only by the State Legislature. The State and School Employees' Health Insurance Management Board (the Board) administers the Plan. The Board has the sole legal authority to promulgate rules and regulations governing the operations of the Plan within the confines of the law governing the Plan. The Plan is self-insured and is financed through premiums collected from employers, employees, retirees and COBRA participants. The Plan provides for Other Postemployment Benefits (OPEB) as a multiple-employer defined benefit OPEB plan. The plan issues a publicly available financial report that can be obtained at <http://knowyourbenefits.dfa.ms.gov/>.

Benefits provided.

The Plan was formed by the State Legislature to provide group health and life benefits to full-time active and retired employees of the State, agencies, universities, community/junior colleges, public school districts and public libraries. In addition, the spouse and/or children of covered employees and retirees, as well as surviving spouses and COBRA participants, may be eligible for health insurance coverage under the Plan. Benefits of the OPEB Plan consist of an implicit rate subsidy, which is essentially the difference between the average cost of providing health care benefits to retirees under age 65 and the average cost of providing health care benefits to all participants when premiums paid by retirees are not age adjusted. Employees' premiums are funded primarily by their employers. Retirees must pay their own premiums, as do active employees for spouse and dependent medical coverage. The Board has the sole authority for setting life and health insurance premiums for the Plan. Per Section 12-15-15 (10) Mississippi Code Ann. (1972), a retired employee electing to purchase retiree life and health insurance must pay the full cost of such insurance premium. If the Board determined actuarially that the premium paid by the participating retirees adversely affects the overall cost of the Plan to the State, then the Board may impose a premium surcharge, not to exceed 15%, upon such participating retired employees who are under the age for Medicare eligibility and who are initially employed before January 1, 2006. For participating retired employees who are under the age for Medicare eligibility and who are initially employed on or after January 1, 2006, the Board may impose a premium surcharge in an amount the Board determined actuarially to cover the full cost of insurance. The Plan offers a Base option and a Select option for health benefits for non-Medicare participants. The Plan includes a separate coverage level for Medicare eligible retirees, Medicare Eligible surviving spouses, and Medicare eligible dependents of retirees and surviving spouses.

Contributions.

The Board has the sole authority for setting life and health insurance premiums for the Plan. The required premiums vary based on the plan selected and the type of participant. Employers pay no premiums for retirees while employees' premiums are funded primarily by their employer. Contributions to the OPEB plan from the District were \$88,915 for the year ended June 30, 2023.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB

At June 30, 2023, the District reported a liability of \$1,769,888 for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2022, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of that date. The basis for the District's proportion is determined by comparing the employer's average monthly employees participating in the Plan with the total average employees participating in the Plan in the fiscal year of all employers. The allocation was utilized because the level of premiums contributed by each employer is the same for any employee regardless of plan participation elections made by the employee. At the measurement date of June 30, 2022, the District's proportion was 0.35923383 percent. This was an increase of 0.01324578 percent from the proportionate share as of the measurement date of June 30, 2021.

For the year ended June 30, 2023, the District recognized OPEB expense of (\$186,948). At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,466	\$ 766,788
Changes of assumptions	276,042	163,868
Net difference between projected and actual earnings on OPEB plan investments	122	
Changes in proportion and differences between District contributions and proportionate share of contributions	169,360	1
District contributions subsequent to the measurement date	88,915	
Total	\$ <u>535,905</u>	\$ <u>930,657</u>

\$88,915 reported as deferred outflows of resources related to OPEB resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net OPEB liability in the year ended June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year Ending June 30:	
2024	\$ (109,737)
2025	(95,062)
2026	(118,817)
2027	(95,031)
2028	(46,447)
Thereafter	<u>(18,573)</u>
Total	\$ <u>(483,667)</u>

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Actuarial assumptions. The total OPEB liability was determined by an actuarial valuation as of June 30, 2022, using the following key actuarial assumptions and other inputs:

Inflation	2.40 percent
Salary increases	2.65-17.90 percent, including wage inflation
Municipal Bond Index Rate	
Measurement Date	3.37%
Prior Measurement Date	2.13%
Year FNP is projected to be depleted	
Measurement Date	2022
Prior Measurement Date	2021
Single Equivalent Interest Rate, net of OPEB plan investment expense, including inflation	
Measurement Date	3.37%
Prior Measurement Date	2.13%
Health Care Cost Trends	
Medicare Supplement Claims	7.00% for 2023 decreasing to an ultimate rate of 4.50% by 2029 FYE
Pre-Medicare	

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females. Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The demographic actuarial assumptions used in the June 30, 2022 valuation were based on the results of the last actuarial experience study, dated April 20, 2021.

The remaining actuarial assumptions (e.g., initial per capita costs, health care cost trends, rate of plan participation, rates of plan election, etc.) used in the June 30, 2022 valuation were based on a review of recent plan experience done concurrently with the June 30, 2022 valuation.

The long-term expected rate of return on OPEB plan investments is 4.50%.

Discount rate. The discount rate used to measure the total OPEB liability at June 30, 2022 was 3.37 percent. Since the Prior Measurement Date, the Discount Rate has changed from 2.13% to 3.37%.

The trust was established on June 28, 2018 with an initial contribution of \$1,000,000. As of June 30, 2022, the trust has \$1,049,208. The fiduciary net position is projected to be depleted immediately, therefore, the Municipal Bond Index Rate is used in the determination of the discount rate for both the June 30, 2021 and the June 30, 2022 total OPEB liability. The discount rate used to measure the total OPEB liability at June 30, 2022 was based on a monthly average of the Bond Buyers General Obligation 20-year Municipal Bond Index Rate.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the discount rate. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.37 percent) or 1-percentage-point higher (4.37 percent) than the current discount rate:

	1% Decrease (2.37%)	Current Discount Rate (3.37%)	1% Increase (4.37%)
Net OPEB liability	\$ 1,949,749	\$ 1,769,888	\$ 1,615,388

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the healthcare cost trend rates. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	1% Decrease	Healthcare Cost Trend Rates Current	1% Increase
Net OPEB liability	\$ 1,646,753	\$ 1,769,888	\$ 1,908,458

OPEB plan fiduciary net position. Detailed information about the OPEB plan's fiduciary net position is available in a separately issued report that can be found at <http://knowyourbenefits.dfa.ms.gov/>.

Note 11 – Prior Period Adjustments

A summary of significant Net Position/Fund Balance adjustments is as follows:

Exhibit B - Statement of Activities

Explanation	Amount
1. To correct a prior year revenue or expenditure at the governmental fund level.	\$ 32,362
2. Adjustments were made to correct capital asset balances.	15,873
Total	<u>\$ 48,235</u>

Exhibit D- Statement of Revenues, Expenditures and Changes in Fund Balances

Fund	Explanation	Amount
General Fund	To correct a prior year revenue or expenditure.	\$ 32,362
Total		<u>\$ 32,362</u>

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 12 – Risk Management

The school district is exposed to various risks of loss related to torts; theft of, damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. Except as described below, the District carries commercial insurance for these risks. Settled claims resulting from these insured risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Participation in Public Entity Risk Pool

The school district is a member of the Mississippi School Boards Association Workers' Compensation Trust (MSBAWCT). The trust is a risk-sharing pool; such a pool is frequently referred to as a self-insurance pool. The trust consists of approximately 48 school districts and covers risks of loss arising from injuries to the members' employees. The Mississippi Workers' Compensation Commission requires that an indemnity agreement be executed by each member in a workers' compensation self-insurance pool for the purpose of jointly and severally binding the pool and each of the employers comprising the group to meet the workers' compensation obligations of each member. Each member of MSBAWCT contributes quarterly to a fund held in trust by Wells Fargo in Portland, Oregon. The funds in the trust account are used to pay any claim up to \$750,000. For a claim exceeding \$750,000, MSBAWCT has insurance which will pay the excess to the statutory amount required by the Mississippi Workers' Compensation Commission Act. If total claims during a year were to deplete the trust account, then the member school districts would be required to pay for the deficiencies. The District has not had an additional assessment for excess losses incurred by the pool.

The school district is a member of the Mississippi School Boards Association Property Trust (MSBAPT). The Trust is a risk sharing pool; such a pool is frequently referred to as a self-insurance pool. The Trust consists of approximately 48 school districts and covers losses associated with property damage to the physical assets owned by the member districts. An indemnity agreement is executed by each member in the Trust for the purposes of jointly and severally binding the pool and each of the members/districts to meet the financial obligations of each member. Each member of the Trust contributes quarterly to a fund held in trust by Amegy Bank of Texas in Houston, Texas. The funds in the trust account are used to pay any claim up to \$150,000 per occurrence. For a claim/occurrence exceeding \$150,000 the Trust has secured excess insurance. If total claims during a year were to deplete the trust account, then the member school districts would be required to pay for the deficiencies. The District has not had an additional assessment for excess losses incurred by the Trust.

The school district is a member of the Mississippi School Boards Association Casualty Trust (MSBACT). The Trust is a risk sharing pool; such a pool is frequently referred to as a self-insurance pool. The Trust consists of approximately 48 school districts and covers liability related losses the member may be responsible for through General Liability, Automobile Liability and School Board Legal Liability. An indemnity agreement is executed by each member in the Trust for the purposes of jointly and severally binding the pool and each of the members/districts to meet the financial obligations of each member. Each member of the Trust contributes quarterly to a fund held in trust by Amegy Bank of Texas in Houston, Texas. The funds in the trust account are used to pay any claim up to \$150,000 per occurrence. For a claim/occurrence exceeding \$150,000 the Trust has secured excess insurance. If total claims during a year were to deplete the trust account, then the member school districts would be required to pay for the deficiencies. The District has not had an additional assessment for excess losses incurred by the Trust.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 13 – Qualified School Construction Bonds

Section 1521 of the American Recovery and Reinvestment Act (ARRA) of 2009 provides for a source of capital at no or at nominal interest rates for costs incurred by certain public schools in connection with the construction, rehabilitation or repair of a public school facility or for the acquisition of land where a school will be built. Investors received Federal income tax credits at prescribed tax credit rates in lieu of interest, which essentially allows state and local governments to borrow without incurring interest costs. While Qualified School Construction Bonds (QSCBs) are intended to be interest free to a borrower, the ARRA legislation allows a lender to charge supplemental interest, and such supplemental interest is the responsibility of the school district.

When the stated interest rate on the QSCB results in interest payments that exceed the supplemental interest payments discussed in the preceding paragraph, the school district may apply for a direct cash subsidy payment from the U.S. Treasury which is intended to reduce the stated interest rate to a nominal percentage. These subsidy payments do not include the amount of any supplemental interest paid on a QSCB. The school district did not apply for any subsidies for the year ended June 30, 2023.

The school district makes equal annual payments into a sinking fund which is used to pay off the bonds at termination. The current maturity limit of tax credit bonds is 17 years, per the U.S. Treasury Department. Under this program, ten percent of the proceeds must be subject to a binding commitment to be spent within six months of issuance and 100% must be spent within three years. Up to two percent of bond proceeds can be used to pay costs of issuance. The amount on deposit at June 30, 2023, was \$2,485,146. The amount accumulated in the sinking fund at the end of the seventeen-year period is expected to be sufficient to retire the debt. The following schedule reports the annual deposits to be made to the sinking fund by the school district.

Year Ending	
June 30	Amount
2024	\$ 227,000
2025	241,000
Total	<u>\$ 468,000</u>

Note 14 – Contingencies

Federal Grants – The school district has received federal grants for specific purposes that are subject to audit by the grantor agencies. Entitlements to these resources are generally conditional upon compliance with the terms and conditions of the grant agreements and applicable federal regulations, including the expenditure of resources for allowable purposes. Any disallowances resulting from the grantor audit may become a liability of the school district.

Litigation – The school district is party to legal proceedings, many of which occur in the normal course of governmental operations. It is not possible at the present time to estimate the outcome or liability, if any, of the school district with respect to the various proceedings. However, the school district's legal counsel believes that ultimate liability resulting from these lawsuits will not have a material adverse effect on the financial condition of the school district.

Note 15 - Insurance loss recovery

The Tishomingo County Special Municipal Separate School District received \$1,442 in insurance loss recoveries during the year related to vehicle damage sustained in a wreck. These amounts were reported as charges for services and all allocated to support services.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Note 16 – Effect of Deferred Amounts on Net Position

The unrestricted net position amount of (\$31,951,617) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from pensions. A portion of the deferred outflow of resources related to pension in the amount of \$3,538,210 resulting from the school district contribution subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2024. The \$19,209,875 balance of deferred outflow of resources related to pensions, at June 30, 2023, will be recognized as an expense and will decrease the unrestricted net position over the next 4 years.

The unrestricted net position amount of (\$31,951,617) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from pensions. The \$12,214,878 balance of deferred inflow of resources related to pensions, at June 30, 2023, will be recognized as revenue and will increase the unrestricted net position over the next 3 years.

The unrestricted net position amount of (\$31,951,617) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from OPEB. A portion of the deferred outflow of resources related to OPEB in the amount of \$88,915 resulting from the school district contribution subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2024. The \$446,990 balance of deferred outflow of resources related to OPEB, at June 30, 2023, will be recognized as an expense and will decrease the unrestricted net position over the next 6 years.

The unrestricted net position amount of (\$31,951,617) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from OPEB. The \$930,657 balance of deferred inflow of resources related to OPEB, at June 30, 2023, will be recognized as revenue and will increase the unrestricted net position over the next 6 years.

Note 17 - Subsequent Events

Events that occur after the Statement of Net Position date but before the financial statements are available to be issued must be evaluated for recognition or disclosure. The effects of subsequent events that provide evidence about conditions that existed at the Statement of Net Position date are recognized in the accompanying financial statements. Subsequent events which provide evidence about conditions that existed after the Statement of Net Position date require disclosure in the accompanying notes. Management of the Tishomingo County Special Municipal Separate School District evaluated the activity of the district through June 4, 2025, (the date the financial statements were available to be issued), and determined that there were no subsequent events that have occurred requiring disclosure in the notes to the financial statements.

REQUIRED SUPPLEMENTARY INFORMATION

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual	Variances	
				Positive (Negative)	
	Original	Final	(GAAP Basis)	Original to Final	Final to Actual
Revenues:					
Local sources	\$ 9,204,427	\$ 10,252,916	\$ 10,252,916	\$ 1,048,489	\$ -
State sources	17,665,723	17,878,153	17,878,153	212,430	-
Federal sources	1,078,250	931,330	931,330	(146,920)	-
Total Revenues	27,948,400	29,062,399	29,062,399	1,113,999	-
Expenditures:					
Instruction	17,966,909	17,473,341	17,444,277	493,568	29,064
Support services	11,850,545	10,458,480	10,843,383	1,392,065	(384,903)
Noninstructional services	117,500	164,189	164,189	(46,689)	-
Facilities acquisition and construction	801,403	2,706,809	2,732,309	(1,905,406)	(25,500)
Debt service:					
Principal			19,202	-	(19,202)
Interest			1,693	-	(1,693)
Total Expenditures	30,736,357	30,802,819	31,205,053	(66,462)	(402,234)
Excess (Deficiency) of Revenues over (under) Expenditures	(2,787,957)	(1,740,420)	(2,142,654)	1,047,537	(402,234)
Other Financing Sources (Uses):					
Leases issued			369,345	-	369,345
SBITAs issued			36,453	-	36,453
Insurance recovery	1,000	1,442	1,442	442	-
Sale of other property	100		-	(100)	-
Operating transfers in	2,619,267	5,857,272	106,413	3,238,005	(5,750,859)
Other financing sources	100		-	(100)	-
Operating transfers out	(2,618,317)	(5,900,640)	(153,345)	(3,282,323)	5,747,295
Total Other Financing Sources (Uses)	2,150	(41,926)	360,308	(44,076)	402,234
Net Change in Fund Balances	(2,785,807)	(1,782,346)	(1,782,346)	1,003,461	-
Fund Balances:					
July 1, 2022, as previously reported	16,917,264	16,912,401	16,880,039	(4,863)	(32,362)
Prior period adjustments			32,362	-	32,362
July 1, 2022, as restated	16,917,264	16,912,401	16,912,401	(4,863)	-
June 30, 2023	\$ 14,131,457	\$ 15,130,055	\$ 15,130,055	\$ 998,598	\$ -

The notes to the required supplementary information are an integral part of this schedule.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

PERS

Last 10 Fiscal Years*

		2023	2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability		0.268212%	0.265498%	0.247085%	0.276994%	0.245475%	0.256807%	0.254915%	0.267975%	0.268823%
District's proportionate share of the net pension liability	\$	55,207,790	39,241,765	47,832,785	48,728,710	40,829,786	42,690,039	45,534,184	41,423,651	32,630,190
District's covered payroll	\$	18,464,545	17,652,913	16,452,822	18,039,911	15,675,937	16,474,306	16,307,526	16,741,558	16,426,501
District's proportionate share of the net pension liability as a percentage of its covered payroll		298.99%	222.30%	290.73%	270.12%	260.46%	259.13%	279.22%	247.43%	198.64%
Plan fiduciary net position as a percentage of the total pension liability		59.93%	70.44%	58.97%	61.59%	62.54%	61.49%	57.47%	61.70%	67.21%

The notes to the required supplementary information are an integral part of this schedule.

* The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 68 was implemented in FYE 6/30/15, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Required Supplementary Information

Schedule of District Contributions
PERS
Last 10 Fiscal Years

	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually required contribution	\$ 3,538,210	3,212,831	3,071,606	2,862,791	2,841,286	2,468,961	2,594,703	2,568,435	2,636,795
Contributions in relation to the contractually required contribution	3,538,210	3,212,831	3,071,606	2,862,791	2,841,286	2,468,961	2,594,703	2,568,435	2,636,795
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-
District's covered payroll	\$ 20,334,540	18,464,545	17,652,913	16,452,822	18,039,911	15,675,937	16,474,306	16,307,526	16,741,558
Contributions as a percentage of covered payroll	17.40%	17.40%	17.40%	17.40%	15.75%	15.75%	15.75%	15.75%	15.75%

The notes to the required supplementary information are an integral part of this schedule.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 68 was implemented in FYE 6/30/15, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Required Supplementary Information

Schedule of the District's Proportionate Share of the Net OPEB Liability

OPEB

Last 10 Fiscal Years*

		2023	2022	2021	2020	2019	2018
District's proportion of the net OPEB liability		0.35923383%	0.34598805%	0.34045485%	0.33699039%	0.33008511%	0.32335607%
District's proportionate share of the net OPEB liability	\$	1,769,888	2,227,063	2,649,447	2,859,498	2,553,373	2,537,080
District's covered - employee payroll		17,652,592	16,472,667	17,495,096	16,941,429	14,929,525	16,474,306
District's proportionate share of the net OPEB liability as a percentage of its covered - employee payroll		10.03%	13.52%	15.14%	16.88%	17.10%	15.40%
Plan fiduciary net position as a percentage of the total OPEB liability		0.21%	0.16%	0.13%	0.12%	0.13%	0.00%

The notes to the required supplementary information are an integral part of this schedule.

* The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 75 was implemented in FYE 6/30/2018, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Required Supplementary Information

Schedule of District Contributions
OPEB
Last 10 Fiscal Years

	2023	2022	2021	2020	2019	2018
Actuarially determined contribution	\$ 88,915	72,127	89,486	105,660	114,618	108,160
Contributions in relation to the actuarially determined contribution	88,915	72,127	89,486	105,660	114,618	108,160
Contribution deficiency (excess)	\$ -	-	-	-	-	-
District's covered - employee payroll	\$ 20,334,540	16,893,615	16,472,667	17,495,096	16,941,429	16,772,887
Contributions as a percentage of covered - employee payroll	0.44%	0.43%	0.54%	0.60%	0.68%	0.64%

The notes to the required supplementary information are an integral part of this schedule.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 75 was implemented in FYE 6/30/2018 and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available. Prior year information is based on historical amounts reported in prior year audit reports.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Required Supplementary Information

For the Year Ended June 30, 2023

Budgetary Comparison Schedule

(1) Basis of Presentation

The Budgetary Comparison Schedule presents the original legally adopted budget, the final legally adopted budget, the actual data on the GAAP basis, variances between the original budget and the final budget, and variances between the final budget and the actual data.

(2) Budget Amendments and Revisions

The budget is adopted by the school board and filed with the taxing authority. Amendments can be made on the approval of the school board. By statute, final budget revisions must be approved on or before October 15. A budgetary comparison is presented for the General Fund and each major Special Revenue Fund consistent with accounting principles generally accepted in the United States of America.

Pension Schedules

(1) *Changes of assumptions*

2015:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Table projected to 2016 using Scale BB rather than the RP-2000 Mortality Table, which was used prior to 2015.

The expectation of disabled mortality was changed to the RP-2014 Disabled Retiree Table, rather than the RP-2000 Disabled Mortality Table, which was used prior to 2015.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

Assumed rates of salary increase were adjusted to more closely reflect actual and anticipated experience.

The price inflation and investment rate of return assumptions were changed from 3.50% to 3.00% and 8.00% to 7.75%, respectively.

2016:

The assumed rate of interest credited to employee contributions was changed from 3.50% to 2.00%.

2017:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Mortality Table projected with Scale BB to 2022. Small adjustments were also made to the Mortality Table for disabled lives.

The wage inflation assumption was reduced from 3.75% to 3.25%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 6% to 7%.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Required Supplementary Information

For the Year Ended June 30, 2023

2019:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 112% of male rates from ages 18 to 75 scaled down to 105% for ages 80 to 119; for females, 85% of the female rates from ages 18 to 65 scaled up to 102% for ages 75 to 119; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubT.H-2010 Disabled Retiree Table for disabled retirees with the following adjustments: for males, 137% of male rates at all ages; for females, 115% of female rates at all ages; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 3.00% to 2.75%.

The wage inflation assumption was reduced from 3.25% to 3.00%.

Withdrawal rates, pre-retirement mortality rates, and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 7% to 9%.

2021:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 95% of male rates up to age 60, 110% for ages 61 to 75, and 101% for ages above 77; for females, 84% of female rates up to age 72, 100% for ages above 76; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubG.H-2010 Disabled Table for disabled retirees with the following adjustments: for males, 134% of male rates at all ages; for females, 121% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of contingent annuitant mortality was based on the PubS.H-2010(B) Contingent Annuitant Table with the following adjustments: for males, 97% of male rates at all ages; for females, 110% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 2.75% to 2.40%.

The wage inflation assumption was reduced from 3.00% to 2.65%.

The investment rate of return assumption was changed from 7.75% to 7.55%.

The assumed load for administrative expenses was increased from 0.25% to 0.28%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to reflect actual experience more closely.

The percentage of active member disabilities assumed to be in the line of duty was increased from 9% to 12%.

The percentage of active member deaths assumed to be in the line of duty was decreased from 6% to 4%.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

(2) *Changes in benefit provisions*

2016:

Effective July 1, 2016, the interest rate on employee contributions shall be calculated based on the money market rate as published by the Wall Street Journal on December 31 of each preceding year with a minimum rate of one percent and a maximum rate of five percent.

(3) *Method and assumptions used in calculations of actuarially determined contributions.*

The actuarially determined contribution rates in the schedule of employer contributions are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported (June 30, 2020 valuation for the June 30, 2022 fiscal year end). The following actuarial methods and assumptions were used to determine the most recent contribution rate reported in that schedule:

Actuarial cost method	Entry age
Amortization method	Level percentage of payroll, open
Remaining amortization period	27.7 years
Asset valuation method	5-year smoothed market
Price Inflation	2.75 percent
Salary increase	3.00 percent to 18.25 percent, including inflation
Investment rate of return	7.75 percent, net of pension plan investment expense, including inflation

OPEB Schedules

(1) *Changes of assumptions*

2017: The discount rate was changed from 3.01% for the prior Measurement Date to 3.56% for the current Measurement Date.

2018: The discount rate was changed from 3.56% for the prior Measurement Date to 3.89% for the current Measurement Date.

2019: The discount rate was changed from 3.89% for the prior Measurement Date to 3.50% for the current Measurement Date.

2020: The discount rate was changed from 3.50% for the prior Measurement Date to 2.19% for the current Measurement Date.

2021: The discount rate was changed from 2.19% for the prior Measurement Date to 2.13% for the current Measurement Date.

2022: The discount rate was changed from 2.13% for the prior Measurement Date to 3.37% for the current Measurement Date.

(2) *Changes in benefit provisions*

2017: None

2018: None

2019: None

2020: The schedule of monthly retiree contributions was increased as of January 1, 2021. In addition, the deductibles and coinsurance maximums were increased for the Select coverage and the coinsurance maximums were increased for the Base Coverage beginning January 1, 2021.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

2021: The schedule of monthly retiree contributions was increased as of January 1, 2022. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2022.

2022: The schedule of monthly retiree contributions was increased as of January 1, 2023. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2023.

- (3) *Methods and assumptions used in calculations of Actuarially Determined Contributions.* The Actuarially Determined Contributions rates, as a percentage of payroll, used to determine the Actuarially Determined Contribution amounts in the Schedule of Employer Contributions are calculated as of the most recent Valuation Date. The following actuarial methods and assumptions (from the June 30, 2021 actuarial valuation) were used to determine contribution rates reported in that schedule for the year ending June 30, 2022:

Actuarial cost method	Entry age
Amortization method	Level dollar
Amortization period	30 years, open
Asset valuation method	Market Value of Assets
Price inflation	2.75%
Salary increases, including wage inflation	3.00% to 18.25%
Initial health care cost trend rates	
Medicare Supplement Claims	6.50%
Pre-Medicare	
Ultimate health care cost trend rates	
Medicare Supplement Claims	4.75%
Pre-Medicare	
Year of ultimate trend rates	
Medicare Supplement Claims	2030
Pre-Medicare	
Long-term investment rate of return, net of OPEB plan investment expense, including price inflation	2.13%

SUPPLEMENTARY INFORMATION

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Supplementary Information

Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2023

Federal Grantor/ Pass-through Grantor/ Program or Cluster Title	Federal Assistance Listing Number	Pass-through Entity Identifying Number	Federal Expenditures
<u>U.S. Department of Agriculture</u>			
Passed-through Mississippi Department of Education:			
Child nutrition cluster:			
School breakfast program	10.553	235MS326N1099	\$ 366,414
National school lunch program	10.555	235MS326N1099	1,507,823
Summer food service program for children	10.559	235MS326N1099	15,745
Total child nutrition cluster			<u>1,889,982</u>
Total passed-through Mississippi Department of Education			<u>1,889,982</u>
Total U.S. Department of Agriculture			<u>1,889,982</u>
<u>Federal Communications Commission</u>			
Administered through the Universal Service Administrative Company:			
Emergency Connectivity Fund Program	32.009	N/A	840,000
Total Federal Communications Commission			<u>840,000</u>
<u>U.S. Department of Education</u>			
Passed-through Mississippi Department of Education:			
Title I grants to local educational agencies	84.010	S010A220024	812,380
Career and technical education - basic grants to states	84.048	V048A220024	40,417
Rural education	84.358	S358B220024	52,183
Supporting Effective Instruction State Grants	84.367	S367A220025	138,142
Student Support and Academic Enrichment Program	84.424	S424A220025	57,680
Subtotal			<u>1,100,802</u>
Special education cluster:			
Special education - grants to states	84.027	H027A220108	873,508
IDEA, Part B ARP Grant	84.027X	H027X210108	26,276
Subtotal			<u>899,784</u>
Special education - preschool grants	84.173	H173A220113	38,279
IDEA, Part B Preschool ARP Grant	84.173X	H173X210113	9,570
Subtotal			<u>47,849</u>
Total special education cluster			<u>947,633</u>
Elementary & Secondary School Emergency Relief Fund II	84.425D	S425D210031	3,019
Elementary & Secondary School Emergency Relief Fund I-CTE Equipment	84.425D	S425D210031	4,694
Elementary & Secondary School Emergency Relief Fund ARP III	84.425U	S425U210031	554,662
COVID-19 - Education Stabilization Fund (ESSER) Subtotal			<u>562,375</u>
Total passed-through Mississippi Department of Education			<u>2,610,810</u>
Total U.S. Department of Education			<u>2,610,810</u>
<u>U.S. Department of Health and Human Services</u>			
Passed-through Mississippi Department of Education:			
Medicaid Cluster:			
Medical assistance program	93.778	N/A	11,132
Total Medicaid Cluster:			<u>11,132</u>
Total passed-through Mississippi Department of Education			<u>11,132</u>
Total U.S. Department of Health and Human Services			<u>11,132</u>
<u>U.S. Department of Social Security Administration</u>			
Passed-through Mississippi Department of Rehabilitation Services:			
Disability Insurance/SSI Cluster:			
Social Security Disability Insurance	96.001	N/A	252
Total Disability Insurance/SSI Cluster			<u>252</u>
Total passed-through Mississippi Department of Rehabilitation Services			<u>252</u>
Total U.S. Department of Social Security Administration			<u>252</u>
Total for All Federal Awards			<u>\$ 5,352,176</u>

The accompanying notes to the supplementary information are an integral part of this schedule.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT

Notes to the Supplementary Information

For the Year Ended June 30, 2023

Schedule of Expenditures of Federal Awards

(1) Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the Tishomingo County Special Municipal Separate School District under programs of the federal government for the year ended June 30, 2023. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the Tishomingo County Special Municipal Separate School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of the Tishomingo County Special Municipal Separate School District.

(2) Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the same basis of accounting and the same significant accounting policies, as applicable, as those used for the financial statements; however, the expenditures include transfers out. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

(3) Indirect Cost Rate

The Tishomingo County Special Municipal Separate School District has not elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

(4) Other Items

Donated commodities are included in the National School Lunch Program.

E-rate funds have not been included on this schedule due to the fact the FCC considers the support to be in the form of providing a discount to the schools and libraries and does not consider the assistance to be direct financial support.

Schedule of Instructional, Administrative and Other Expenditures – Governmental Funds

(1) Basis of Accounting

This schedule is presented on the same basis of accounting and the same significant accounting policies, as applicable, as those used for the financial statements.

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Supplementary Information

Schedule of Instructional, Administrative and Other Expenditures - Governmental Funds
For the Year Ended June 30, 2023

<u>Expenditures</u>	<u>Total</u>	<u>Instruction and Other Student Instructional Expenditures</u>	<u>General Administration</u>	<u>School Administration</u>	<u>Other</u>
Salaries and fringe benefits	\$ 28,070,806	21,622,098	872,277	2,044,245	3,532,186
Other	<u>11,421,854</u>	<u>3,319,944</u>	<u>186,125</u>	<u>43,972</u>	<u>7,871,813</u>
Total	<u>\$ 39,492,660</u>	<u>24,942,042</u>	<u>1,058,402</u>	<u>2,088,217</u>	<u>11,403,999</u>
Total number of students *	<u>2,821</u>				
Cost per student	<u>\$ 14,000</u>	<u>8,842</u>	<u>375</u>	<u>740</u>	<u>4,043</u>

For purposes of this schedule, the following columnar descriptions are applicable:

Instruction and Other Student Instructional Expenditures - includes the activities dealing directly with the interaction between teachers and students. Included here are the activities of teachers, teachers aides or classroom assistants of any type.

General Administration - includes expenditures for the following functions: Support Services - General Administration and Support Services - Business.

School Administration - includes expenditures for the following function: Support Services - School Administration.

Other - includes all expenditure functions not included in Instruction or Administration Categories.

* includes the number of students reported on the ADA report submission for month 9, which is the final submission for the fiscal year

OTHER INFORMATION

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

General Fund

Last Four Years

UNAUDITED

	2023	2022*	2021*	2020*
Revenues:				
Local sources	\$ 10,252,916	\$ 9,530,598	\$ 8,914,915	\$ 9,466,742
State sources	17,878,153	15,698,588	15,137,959	15,291,208
Federal sources	931,330	954,018	1,146,878	1,223,071
Total Revenues	29,062,399	26,183,204	25,199,752	25,981,021
Expenditures:				
Instruction	17,444,277	16,352,329	14,965,233	14,961,053
Support services	10,843,383	10,011,028	9,039,834	8,958,540
Noninstructional services	164,189	136,469	77,570	107,956
Facilities acquisition and construction	2,732,309	437,306	199,822	237,321
Debt service:				
Principal	19,202		129,148	127,504
Interest	1,693		1,666	3,311
Total Expenditures	31,205,053	26,937,132	24,413,273	24,395,685
Excess (Deficiency) of Revenues over (under) Expenditures	(2,142,654)	(753,928)	786,479	1,585,336
Other Financing Sources (Uses):				
Leases issued	369,345			
SBITA issued	36,453			
Insurance recovery	1,442	29,814	27,035	3,697
Sale of transportation equipment		4,428	580	
Sale of other property		116,385		700
Operating transfers in	106,413	5,992,937		
Operating transfers out	(153,345)	(15,444)	(4,449)	(4,428)
Total Other Financing Sources (Uses)	360,308	6,128,120	23,166	(31)
Net Change in Fund Balances	(1,782,346)	5,374,192	809,645	1,585,305
Fund Balances:				
Beginning of period, as previously reported	16,880,039	11,505,847	10,696,202	9,146,836
Prior period adjustments	32,362			(35,939)
Beginning of period, as restated	16,912,401	11,505,847	10,696,202	9,110,897
End of Period	\$ 15,130,055	\$ 16,880,039	\$ 11,505,847	\$ 10,696,202

*SOURCE - PRIOR YEAR AUDIT REPORTS

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

All Governmental Funds

Last Four Years

UNAUDITED

	2023	2022*	2021*	2020*
Revenues:				
Local sources	\$ 11,181,248	\$ 10,142,772	\$ 9,491,789	\$ 10,315,854
State sources	19,889,038	17,527,921	17,093,476	17,359,969
Federal sources	6,081,428	12,096,886	6,351,429	4,329,061
Total Revenues	37,151,714	39,767,579	32,936,694	32,004,884
Expenditures:				
Instruction	21,535,419	19,546,668	18,849,224	17,662,528
Support services	12,475,256	12,500,254	10,992,164	10,181,315
Noninstructional services	2,351,847	2,097,517	1,482,927	1,846,671
Facilities acquisition and construction	2,732,309	437,306	199,822	237,321
Debt service:				
Principal	308,867	195,000	324,148	317,504
Interest	87,712	67,415	73,117	78,695
Other	1,250	166,770	12,380	
Total Expenditures	39,492,660	35,010,930	31,933,782	30,324,034
Excess (Deficiency) of Revenues over (under) Expenditures	(2,340,946)	4,756,649	1,002,912	1,680,850
Other Financing Sources (Uses):				
Bonds and notes issued		1,169,184		
Leases issued	369,345			
SBITA issued	36,453			
Insurance recovery	1,442	29,814	27,035	3,697
Payments held by escrow agent	224,996			
Payment to QSCB debt escrow agent	(224,996)			
Sale of transportation equipment		4,428	580	
Sale of other property		116,385		700
Operating transfers in	279,743	6,351,074	257,287	274,535
Operating transfers out	(279,743)	(6,351,074)	(257,287)	(274,535)
Total Other Financing Sources (Uses)	407,240	1,319,811	27,615	4,397
Net Change in Fund Balances	(1,933,706)	6,076,460	1,030,527	1,685,247
Fund Balances:				
Beginning of period, as previously reported	20,734,237	14,648,543	13,632,052	11,951,822
Prior period adjustments	32,362			(35,939)
Beginning of period, as restated	20,766,599	14,648,543	13,632,052	11,915,883
Increase (Decrease) in inventory	(28,363)	9,234	(14,036)	30,922
End of Period	\$ 18,804,530	\$ 20,734,237	\$ 14,648,543	\$ 13,632,052

*SOURCE - PRIOR YEAR AUDIT REPORTS

REPORTS ON INTERNAL CONTROL AND COMPLIANCE



McKENZIE CPA, PLLC

346 Sundial Rd
Madison, MS 39110
(Phone) 601-670-5282 (Email) barrymckenzie@mckenziecpapllc.com

INDEPENDENT AUDITOR'S REPORT
ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

Superintendent and School Board
Tishomingo County Special Municipal Separate School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Tishomingo County Special Municipal Separate School District, as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise Tishomingo County Special Municipal Separate School District's basic financial statements, and have issued our report thereon dated June 4, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Tishomingo County Special Municipal Separate School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Tishomingo County Special Municipal Separate School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Tishomingo County Special Municipal Separate School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Tishomingo County Special Municipal Separate School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statement. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

McKenzie CPA, PLLC
Madison, Mississippi
June 4, 2025

McKenzie CPA, PLLC



McKENZIE CPA, PLLC

346 Sundial Rd
Madison, MS 39110

(Phone) 601-670-5282 (Email) barrymckenzie@mckenziecpapllc.com

Independent Auditor's Report on Compliance For Each Major Federal Program; Report on Internal Control Over Compliance Required by the Uniform Guidance

Superintendent and School Board
Tishomingo County Special Municipal Separate School District

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Tishomingo County Special Municipal Separate School District's compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of Tishomingo County Special Municipal Separate School District's major federal programs for the year ended June 30, 2023. The Tishomingo County Special Municipal Separate School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Tishomingo County Special Municipal Separate School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report. We are required to be independent of the Tishomingo County Special Municipal Separate School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Tishomingo County Special Municipal Separate School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Tishomingo County Special Municipal Separate School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion

on the Tishomingo County Special Municipal Separate School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Tishomingo County Special Municipal Separate School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Tishomingo County Special Municipal Separate School District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Tishomingo County Special Municipal Separate School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Tishomingo County Special Municipal Separate School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

McKenzie CPA, PLLC
Madison, Mississippi
June 4, 2025

McKenzie CPA, PLLC

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS



McKENZIE CPA, PLLC

346 Sundial Rd
Madison, MS 39110
(Phone) 601-670-5282 (Email) barrymckenzie@mckenziecpapllc.com

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

Superintendent and School Board
Tishomingo County Special Municipal Separate School District

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Tishomingo County Special Municipal Separate School District as of and for the year ended June 30, 2023, which collectively comprise Tishomingo County Special Municipal Separate School District's basic financial statements and have issued our report thereon dated June 4, 2025. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Section 37-9-18(3)(a), Miss. Code Ann. (1972), states in part, "the auditor shall test to ensure that the school district is complying with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), relating to classroom supply funds." As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of our procedures performed to test compliance with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), disclosed no instances of noncompliance.

Section 37-9-18(3)(b), Miss. Code Ann. (1972), states in part, "the auditor shall test to ensure correct and appropriate coding at the function level. The audit must include a report showing the correct and appropriate functional level expenditure codes in expenditures by the school district."

The results of our procedures performed to test compliance with the requirements of Section 37-9-18(3)(b), Miss. Code Ann. (1972), disclosed no instances of noncompliance related to incorrect or inappropriate functional level expenditure coding.

As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of procedures performed to test compliance with certain other state laws and regulations and our audit of the financial statements disclosed the following immaterial instances of noncompliance with other state laws and regulations. Our findings and recommendations and your responses are as follows:

State Legal Finding 01: The School District Should Ensure Compliance with Statement of Economic Interest.

Internal Control Deficiency: The board is responsible for ensuring that all members have filed their Economic Interest Statement by May 1st of each year.

Applicable State Law: *Section 25-4-25, Mississippi Code Annotated (1972)*, provides that "Each of the following individuals shall file a statement of economic interest with the commission in accordance with the provisions of this chapter: a) Persons elected by popular vote..." *Section 25-4-29, Mississippi Code Annotated (1972)*, provides that "1) Required statements hereunder shall be filed as follows: a) Every incumbent public official required....to file a statement of economic interest shall file such statement with the commission on or before May 1 of each year that such official holds Office, regardless of duration.....2) Any person who fails to file a statement of economic interest within thirty (30) days of the date of the statement is due shall be deemed delinquent by the commission...a fine of Fifty Dollars (\$50) per day, not to exceed a total fine of One Thousand Dollars (\$1,000) shall be assessed against the delinquent filer for each day thereafter in which the statement of economic interest is not properly filed. The commission shall enroll such assessment as a civil judgment with the Circuit Clerk in the delinquent filer's county of residence..."

Finding Detail: During the review the School District's economic interest statements, the auditor noted the following exceptions:

- Two board members filed their statements late;
- Two board members failed to file their statements.

Failure to file the economic interest statements could result in non-compliance with the applicable law and could result in fines being assessed and a civil judgement being enrolled against the delinquent filers.

Recommendation: We recommend the district implement procedures to ensure the board members are aware of the requirement to file the economic interest statement and the deadline to complete the form by May 1st of each year.

District's Response: The district will ensure all board members are aware of the deadline going forward. All board members did meet the deadline for May 1st, 2024.

Repeat Finding: No.

State Legal Finding 02: The School District Should Ensure Compliance with State Law over Surety Bonds.

Applicable State Law: *Section 37-7-321, Mississippi Code Annotated (1972)* states, " The school board of any school district within the State of Mississippi, in its discretion, may employ one or more persons as security personnel and may designate such persons as peace officers in or on any proper operated for school purposes by such board upon their taking such oath and making such bond as required of a constable of the county in which school district is situated.

Any person employed by a school board as a security guard or school resource officer or in any other position that has the powers of a peace officer must receive a minimum level of basic law enforcement training, as jointly determined and prescribed by the Board on Law Enforcement Officer Standards and prescribed by the Board on Law Enforcement Officer Standards and Training and the State Board of Education, within two (2) years of the person's initial employment in such position. Upon the failure of any person employed in such position to receive the required training within the designated time, the person may not exercise the powers of a peace officer in or on the property of the school district."

Finding Detail: During the review of the School District's surety bonds, the auditor noted the following exceptions:

- Six School Resource officers were bonded with indefinite bonds.

Failure to have a bond in place for a specific term of office could limit the amount available for recovery if a loss occurred over multiple terms and result in the loss of public funds. Additionally, failure to ensure all employees are correctly and sufficiently bonded resulted in noncompliance with state law and regulations.

Recommendation: We recommend the Tishomingo County Special Municipal Separate School District ensure compliance by assuring all employees are sufficiently bonded, as required by state law and regulations.

District's Response: The District will bond employees for their school board approved employment.

Repeat Finding: No.

State Legal Finding 03 – The School District Should Ensure Compliance with State Law over Principals and Directors Recommendations and Supervision of Relatives within the First Degree.

Applicable State Law: *Section 25-4-105 (1), Mississippi Code Annotated (1972)*, prohibits a public servant from using his or her position to obtain or attempt to obtain any pecuniary benefit for his or her spouse or other "relative," as that term defined in *Section 25-4-103(q)*.

Mississippi Ethics Opinion 21-033-E, states, "While *Section 37-9-17, Mississippi Code of 1972*, provides a "step-aside" provision allowing the school board's designee to recommend the principal's relatives, a violation of *Section 25-4-105(1)* is virtually inevitable when one relative directly supervises another relatives and create an appearance of impropriety in conflict with *Section 25-4-101*... Moreover, the Ethics Commission has repeatedly opined that when one relative directly supervises another relative, a violation of *Section 25-4-105(1)*.... Likewise, having the principal's subordinate employee supervise the principal's relatives and recommend the relative places the subordinate in an unenviable and perhaps untenable position which does little to quell public suspicion and should be avoided. For these reasons, school principals should not be allowed to directly supervise their relatives, and those relatives should be transferred to other schools."

Section 37-9-17(1), Mississippi Code Annotated (1972), states, "The school board of any local school district shall be authorized to designate a personnel supervisor or another principal employed by the school district to recommend to the superintendent licensed employees or noninstructional employees; however, this authorization shall be restricted to no more than two (2) positions for each employment period for each school in the local school district. Any noninstructional employee employed upon the recommendation of a personnel supervisor or another principal employed by the local school district must have been employed by the local school district at the time the superintendent was elected or appointed to office; a noninstructional employee employed under this authorization may not be paid compensation in excess of the statewide average compensation for such noninstructional position with comparable experience, as established by the State Department of Education."

Finding Detail: During the review of the School District's related parties, the auditor noted the following exceptions:

- One Principal recommended and supervised their Sister-in-law (certified teacher); and
- One board member did not recuse themselves when voting on the employment of his sister.

Failure to ensure that administrators do not recommend nor supervise their spouse and child resulted in a noncompliance of state law and regulations.

Recommendation: We recommend ensure compliance by assuring all Principals and Directors do not recommend nor supervise their relatives, as required by state law and regulations. This matter will be referred to the *Mississippi Ethics Commission*.

District's Response: To comply with state law and the MS Ethics Commission, the TCSD has implemented procedures to eliminate the incorrect recommendation and employment of related parties immediately. The instances mentioned have been corrected through resignation and/or transfer.

Repeat Finding: Yes

State Legal Finding 04: The School District Should Strengthen Internal Controls and Ensure Compliance with State Law over Travel Reimbursements.

Internal Control Deficiency: Management is responsible for ensuring that all travel reimbursements expenditures are correctly recorded, allowed, and documented, as required by the *Mississippi Department of Finance and Administration*. Proper internal controls would include maintaining corroborating evidence such as conference schedules and attendance certifications and completing travel request forms.

Applicable State Law: *Section 25-3-41(4), Mississippi Code Annotated (1972)*, states, "In addition to the foregoing, a public officer or employee shall be reimbursed for other actual expenses such as meals, lodging and other necessary expenses incurred in the course of the travel, subject to limitations placed on meals for intrastate and interstate official travel by the Department of Finance and Administration, provided, that the Legislative Budget Office shall place any limitations for expenditures made on matters under the jurisdiction of the Legislature. The Department of Finance and Administration shall set a maximum daily expenditure annually for such meals and shall notify officers and employees of changes to these allowances immediately upon approval of the changes."

Finding Detail: During the review the School District's travel expenditures, the auditor noted the following exceptions:

- Two travel vouchers were not signed and approved correctly.

Failure to have adequate controls surrounding the District's reimbursements could result in waste, fraud, and abuse of public funds, and could result in noncompliance with state law.

Recommendation: We recommend the Tishomingo County Special Municipal Separate School District strengthen internal controls and ensure compliance by assuring expense reimbursements are properly documented, approved, and verified, as required by state law. Also, the School District should ensure that employees are not being reimbursed while out on leave.

District's Response: The Tishomingo County Special Municipal Separate School District has met with the business office staff and employees on processes and procedures for travel reimbursement. The business office has strengthened the review process of travel reimbursement documentation to ensure compliance with state and local laws prior to travel reimbursements being added to the claims docket for payment.

Repeat Finding: Yes.

State Legal Finding 05: The School District Should Ensure Compliance with State Laws over reemployment of retired public employees.

Internal Control Deficiency: The management is responsible for ensuring that all reemployed retirees follow the proper requirements to not affect their retirement benefits.

Applicable State Law: *Section 25-11-127(4), Mississippi Code Annotated. (1972)*, states, "Notice shall be given in writing to the executive director, setting forth the facts upon which the employment is being made, and the notice shall be given within five (5) days from the date of employment and also from the date of termination of the employment." *Mississippi Public Employment Retirement System (PERS) Board Regulation 34, Section 105*, states, "The lawfully employ a PERS service retiree under Section 103, the

employer must notify PERS in writing of the terms of the eligible employment within five (5) days from the date of employment and also from the date of termination on a form prescribed by the Board. Failure by the employer to timely notify PERS may result in the assessment of \$300 penalty per occurrence payable by the employer.”

Finding Detail: During the review the School District’s PERS Form 4B’s, the auditor noted the following exceptions:

- Two of Six retirees were overpaid per their allowed income on the Form 4B.

Failure to file the Form 4B as required by PERS could result in an employee getting overpaid or penalties being assessed by PERS. Overpayment to an employee could also affect their retirement benefits.

Recommendation: We recommend the district ensure compliance by properly completing the 4B form and showing evidence the form is being filed with PERS within five days of rehire.

District’s Response: The district will ensure all PERS 4B forms are properly completed and filed within the five-day requirement.

Repeat Finding: Yes.

The Office of the State Auditor or a public accounting firm will review, on the subsequent year’s audit engagement, the findings in this report to ensure that corrective action has been taken.

The Tishomingo County Special Municipal Separate School District’s responses to the findings included in this report were not audited and, accordingly, we express no opinion on them.

This report is intended solely for the information and use of the school board and management, entities with accreditation overview, and federal awarding agencies, the Office of the State Auditor and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties. However, this report is a matter of public record and its distribution is not limited.

McKenzie CPA, PLLC
Madison, Mississippi
June 4, 2025

McKenzie CPA, PLLC

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section I: Summary of Auditor's Results

Financial Statements:

- | | | |
|----|---|---------------|
| 1. | Type of auditor issued on whether the financial statements audited were prepared in accordance with GAAP: | Unmodified |
| 2. | Internal control over financial reporting: | |
| | a. Material weakness(es) identified? | No |
| | b. Significant deficiency(ies) identified? | None Reported |
| 3. | Noncompliance material to financial statements noted? | No |

Federal Awards:

- | | | |
|----|--|---------------|
| 4. | Internal control over major programs: | |
| | a. Material weakness(es) identified? | No |
| | b. Significant deficiency(ies) identified? | None Reported |
| 5. | Type of auditor's report issued on compliance for major programs: | Unmodified |
| 6. | Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? | No |
| 7. | Identification of major federal programs: | |

Assistance Listing Numbers

Name of Federal Program or Cluster

32.009

Emergency Connectivity Fund

84.010

Title I Grants to Local Educational Agencies

84.027

Special Education Cluster

84.027X

Special Education – Grants to States

84.173

IDEA, Part B ARP Grant

84.173X

Special Education – Preschool Grants

IDEA, Preschool ARP Grant

84.425D

Education Stabilization Funds (ESSER)

Elementary & Secondary School Emergency Relief Fund II

84.425D

Elementary & Secondary School Emergency Relief Fund I -CTE Equipment

84.425U

Elementary & Secondary School Emergency Relief Fund ARP III

- | | | |
|-----|---|-----------|
| 8. | Dollar threshold used to distinguish between type A and type B programs: | \$750,000 |
| 9. | Auditee qualified as low-risk auditee? | No |
| 10. | Prior fiscal year audit finding(s) and questioned costs which would require the auditee to prepare a summary schedule of prior audit findings in accordance with 2CFR 200.511(b). | Yes |

TISHOMINGO COUNTY SPECIAL MUNICIPAL SEPARATE SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section II: Financial Statement Findings

The results of our tests did not disclose any findings related to the financial statements that are required to be reported under *Government Auditing Standards*.

Section III: Federal Award Findings and Questioned Costs

The results of our tests did not disclose any findings and questioned cost related to the federal awards..

AUDITEE'S SUMMARY OF PRIOR YEAR AUDIT FINDINGS

TISHOMINGO COUNTY SCHOOL DISTRICT
Christie Holly
SUPERINTENDENT OF EDUCATION

AUDITEE'S SUMMARY OF PRIOR YEAR AUDIT FINDINGS

As required by Uniformed Guidance, the Clarksdale Municipal School District has prepared and hereby submits the following summary of prior year audit findings as of June 30, 2023:

<u>Findings</u>	<u>Status</u>
2022-001	Corrected.
2022-002	Corrected.
2022-003	Corrected.